
OWN THE MACHINE

*Regulation of the European Parliament and of the Council on
harmonised rules for citizen participation in automated
productivity gains (Citizens' Capital Regulation)*

A citizens' draft, written in the open, objections first.

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Recitals

Whereas:

- (1)** The internal market comprises an area without internal frontiers in which the free movement of goods, services, persons and capital is ensured. The conditions under which highly automated undertakings operate in the internal market are increasingly the subject of divergent national initiatives, including proposals for levies on automated production, national social-dividend schemes and mandatory employee-participation regimes extended to undertakings with few employees. Such divergence creates fragmentation, distorts competition and gives undertakings an incentive to locate activities according to regulatory exposure rather than economic merit. That this is the pattern rather than a possibility is established by the taxation of digital activity, where the absence of a Union measure was followed by unilateral national taxes in eight Member States, at rates, on bases and with thresholds that do not correspond, so that the same undertaking falls inside one national regime and outside its neighbour's on identical revenue. Harmonised rules at Union level are therefore necessary, and are more effective before national answers multiply than after.
- (2)** Advances in artificial intelligence and related automation technologies enable a new category of undertaking: one which attains very substantial turnover and market value while engaging very little human labour in production. Such undertakings are lawful, productive and often beneficial. Their emergence is nevertheless economically unprecedented, because the mechanisms by which productivity gains have historically been diffused through the population, above all wages and the broad taxation of labour income, presuppose that production requires labour at scale.
- (3)** Where output is substantially decoupled from employment, the gains from automation accrue by default to a narrow base of shareholders. No existing instrument of Union law addresses the resulting concentration of capital ownership. Competition law addresses conduct, not ownership; Regulation (EU) 2022/1925 addresses the contestability of digital markets; Regulation (EU) 2024/1689 addresses the safety of artificial intelligence systems. This Regulation complements those instruments by addressing the distribution of the ownership of automated production itself.
- (4)** The appropriate response is not a tax on the flows of automated production. Taxes on flows burden activity year by year, are borne in part by consumers and employees, depend on annual political renewal and treat the gains of automation as public revenue to be spent. The response chosen by this Regulation operates on assets instead: a limited, one-time right to subscribe for equity in the most labour-decoupled undertakings, held in a common reserve for the benefit of all Union citizens. An equity stake participates in gains only where gains exist, imposes no recurring burden on production and converts the automation dividend into broadly held capital rather than public expenditure.
- (5)** This Regulation addresses the distribution of the capital value created by hyper-automated production and does not purport to regulate employment, wages, taxation as such, or the internal organisation of undertakings beyond what the citizens' capital warrant requires. It does not promise status, purpose, meaning or the other goods that employment supplies as a by-product,

and nothing in this Regulation, and no material presenting it, should be read as making such a promise. Its object is narrower and more precise than that: a broadly held equity stake in the value that automation creates, and nothing beyond it.

- (6)** So that the obligations laid down in this Regulation apply only to undertakings in which the decoupling of output from labour is extreme, durable and of Union significance, undertakings should be designated on the basis of objective qualitative criteria, accompanied by quantitative thresholds giving rise to a rebuttable presumption. That architecture, which follows the model of Regulation (EU) 2022/1925, provides legal certainty for undertakings while preserving the ability of the Commission to designate on the facts and to disregard arrangements whose main purpose or effect is the avoidance of designation. Small and medium-sized enterprises fall far outside the thresholds and are unaffected by this Regulation.
- (7)** The quantitative thresholds should capture only undertakings of very substantial scale whose turnover per full-time equivalent, measured on the automated segment of their activity and counting labour in substance rather than in form, has no precedent in labour-intensive business. Counting labour in substance imposes a compliance burden that is confined to undertakings of that scale and is necessary to prevent avoidance of designation by fragmentation or subcontracting, which a form-based count would invite. For the same reason the thresholds should be assessed at the level of the group of linked enterprises, the single economic unit to which the value of the automated services accrues, so that no structuring of the group places the undertaking's Union activity beyond designation. The counting methodology is laid down in Annex I so that it can follow technological and market developments without amendment of the essential elements of this Regulation.
- (8)** Designation should follow a notification by the undertaking itself within a fixed period, with a decision of the Commission within a fixed period thereafter. Arguments against the presumption should be taken into account only where they manifestly call it into question, and arguments based on the definition of the relevant market should not be taken into account, since designation does not depend on a finding of market power. Where a designation is repealed, a warrant not yet crystallised should lapse after five years, ensuring legal certainty for the undertaking while preserving for a reasonable period the rights acquired by the Reserve.
- (9)** The citizens' capital warrant should be modest, precise and singular: a right to subscribe, at nominal value, for shares representing 3 % of the fully diluted capital of the covered undertaking, once per designation. The warrant should confer no voting rights and no influence over management, so that neither the Union nor any public authority obtains control or direction of any undertaking by virtue of this Regulation. This Regulation therefore leaves untouched the rules in Member States governing the system of property ownership and does not effect any transfer of any undertaking to public ownership.
- (10)** The warrant should crystallise upon the first liquidity event following designation: an admission to trading, a change of control or a substantial secondary sale. It should also crystallise, on the same terms and before any liquidity event, where the covered undertaking extracts value to its own shareholders above the threshold this Regulation sets for that purpose, or where seven years have elapsed since the warrant was issued. Attaching the public stake to the point at which the

undertaking's own choices, or the mere elapse of that period, make value claimable keeps the warrant dormant until one of those points is reached and interferes with no going concern before it is. For the same reason, an admission to trading which occurred before the entry into force of this Regulation should not constitute a liquidity event, and this Regulation should not apply to a liquidity event or other crystallising event completed before its entry into force.

- (11)** Shareholder extraction above the threshold this Regulation sets for that purpose should crystallise the warrant on the same footing as a liquidity event, because in substance it is the same event. A liquidity event realises value for the shareholders of a covered undertaking by converting an unrealised stake into cash or its equivalent; extraction realises the same value by a different route, distributing it directly to those shareholders without any sale of the undertaking itself. An instrument that crystallised only on a sale, an admission to trading or a comparable transaction would depend on the form the owners of a covered undertaking choose for taking value out of it, and owners able to achieve the same result by dividend, buy-back or capital reduction would have every reason to choose that form instead. The extraction trigger closes that route, without altering the liquidity-event trigger in any other respect.
- (12)** The seven-year long-stop answers a case the liquidity-event and extraction triggers do not reach: an undertaking that remains privately held indefinitely, keeps its distributions to shareholders below the extraction threshold, and so never crystallises the warrant at all, while its value continues nonetheless to accrue for the benefit of those shareholders. Absent a long-stop, such an undertaking could defeat the objective of this Regulation by the simple expedient of staying private and patient. The long-stop is the answer to that possibility, and it is proportionate under Article 52(1) of the Charter of Fundamental Rights of the European Union: it is quantified in years rather than left to discretion, it is known to the undertaking from the moment of its designation, and it is subject to the same independent valuation and the same separate right of challenge before the courts that apply to crystallisation at a liquidity event.
- (13)** The warrant should be incapable of settlement in cash. It confers an entitlement to shares and to nothing else. It is accordingly not a levy, not a charge on turnover or profit and not revenue of any public authority, and it is so designed that no payment obligation towards any budget can arise from it. In excluding settlement in money, the prohibition restricts the freedom of the undertaking to structure the discharge of its obligation; that restriction is justified and proportionate, because it confines the interference to capital ownership and keeps the undertaking's operating liquidity untouched, which a cash alternative would not.
- (14)** Undertakings within the scope of this Regulation include undertakings governed by the law of third countries which meet the thresholds through their activity in the internal market. Equal treatment and the level playing field require that such undertakings assume obligations of equivalent effect. The obligations laid down in this Regulation attach only where activity in the internal market meets the thresholds laid down in it, so that their application to such undertakings rests on the immediate, substantial and foreseeable effects of their conduct within the internal market and not on the mere accessibility of their services. Where the law governing an undertaking does not give effect to the subscription right, the undertaking should be required to procure a subscription of equivalent effect as an obligation of result, without prejudice to the

company law of its incorporation, and compliance should be secured through the enforcement powers laid down in this Regulation, including, as a last resort, the power to prohibit the making available of the relevant goods and services on the internal market.

- (15)** The issuance of shares pursuant to a citizens' capital warrant requires derogations from certain provisions of Directive (EU) 2017/1132 of the European Parliament and of the Council concerning pre-emption rights and the consideration for issued shares. Comparable derogations, adopted in the general interest, form part of the established *acquis* in the field of bank recovery and resolution. Because the shares subscribed by the Reserve are non-voting for as long as it holds them, provisions of the law of a Member State that restrict the proportion, issuance conditions or characteristics of non-voting shares should not apply to the extent that they would prevent the issuance or holding of those shares. The derogations provided for in this Regulation are strictly limited to what the execution of the subscription requires, and they are necessary: an issuance that existing shareholders could pre-empt, that could be made conditional on a resolution of the general meeting, or that a Member State's non-voting-share rules could block outright, could not perform the function this Regulation assigns to it.
- (16)** The shares subscribed pursuant to the citizens' capital warrant should rank, for the Reserve, equally with the most favourable class of shares created after the covered undertaking's designation, and otherwise equally with its ordinary shares, without affecting the ranking of any creditor. Ranking the Reserve behind classes created after designation would let the interference be diluted by the covered undertaking's own subsequent choices; ranking it above every class, including preference shares subscribed and paid for before designation, would take from those earlier investors the protection they bargained and paid for, which this Regulation does not do. Equal ranking with the most favourable class created after designation, and no disturbance of the claims of creditors, confines the interference to what the warrant is: an equity interest, not a priority claim.
- (17)** The obligations laid down in this Regulation would be of little value if they could be routed around by an arrangement that subordinates the Reserve's participation, by moving the automated assets on which a covered undertaking's designation rests into another entity, or by the extinguishment of the warrant in an insolvency or restructuring procedure engineered or exploited by the same persons who controlled the covered undertaking. An arrangement that subordinates, reduces or defeats the Reserve's participation should accordingly be ineffective as against the Reserve, while remaining effective between the parties to it and as against third parties, so that anti-avoidance is achieved without unwinding transactions to which the Reserve was not a party. Where a covered undertaking transfers its automated assets to another undertaking otherwise than at arm's length, or to a member of its own group or a person who controls it or is controlled by it, the obligations laid down in this Regulation should attach to the transferee as if it were the covered undertaking, so that the assets which carry the value cannot be moved beyond the warrant's reach while the covered undertaking that issued it remains bound in respect of what it retains. Anti-avoidance should not become a multiplier: a group that divides its automated assets among several entities should owe the same share of its capital as one that does not, and the stated percentage should therefore apply to the dilution borne by the shareholders of the covered undertaking and of every transferee taken together, and not

separately to each of them. Where those assets are instead acquired in an insolvency or restructuring procedure and control of the transferee ends up, directly or indirectly, with the persons who controlled the covered undertaking, or with persons acting in concert or connected with them, the same obligations should reattach to the transferee, because no genuine change of ownership has in substance occurred. That reattachment should not extend to a transferee controlled by persons who did not control the covered undertaking: a genuine sale to unconnected purchasers in insolvency or restructuring is the ordinary operation of that law, not an avoidance of this Regulation, and should be left to run its course without the obligations of this Regulation attaching to it.

- (18)** This Regulation interferes with the right to property of the shareholders of covered undertakings, whose holdings are diluted upon crystallisation. That interference is provided for by law, genuinely meets an objective of general interest recognised by the Union and respects the essence of the right to property: it is a one-time dilution, capped at a stated percentage, borne at a moment of realised gain by the shareholders of undertakings whose value derives from an unprecedented decoupling of output from labour. The Court of Justice has consistently held that the right to property is not absolute and that its exercise may be regulated where regulation is proportionate to a legitimate aim of general interest. The interference effected by this Regulation is quantified, foreseeable from designation and less intrusive than measures already upheld in the field of bank resolution. Subscription at nominal value rather than by gratuitous transfer keeps the mechanism within the forms of company law while ensuring that the interference is the stated dilution and nothing more; requiring the Reserve to pay a market price would demand public expenditure this Regulation is designed not to need and would convert a mechanism of ownership into a budgetary one. The fair balance rests also on what the covered undertaking receives: a single harmonised regime of access to the internal market in place of divergent national levies and participation schemes, and the legal certainty of an interference fixed in advance in amount and in moment.
- (19)** Proportionality further requires safeguards. The dilution borne by shareholders is capped by this Regulation and verified by an independent valuation, which is challengeable separately from the transaction it accompanies and correctable in both directions. The safeguard the valuation secures is that the interference can never exceed the stated percentage in execution: the dilution is capped, its price is set by the event that crystallises it, and no application of this Regulation may take from shareholders more than the interference it names. That executional ceiling, not a crisis counterfactual, is what keeps the interference proportionate in a permanent regime. Neither designation nor crystallisation suspends, conditions or unwinds any transaction. Every decision taken under this Regulation is subject to effective judicial protection in accordance with Article 47 of the Charter of Fundamental Rights of the European Union.
- (20)** Where a liquidity event itself establishes a price, a valuation delivered in advance of the event would be conjecture about a number the event is about to produce. The independent valuation should therefore be delivered promptly after completion, while the legal effect of the subscription attaches at completion and its execution follows delivery of the valuation.

- (21)** The European Citizens' Capital Reserve should hold the warrants and the shares arising from them exclusively for the benefit of holders. Its assets and income are not public revenue: they should not enter the general budget of the Union or any national budget, and no payment should flow between the Reserve and any budget in either direction. In this the Reserve resembles a statutory funded pension scheme, whose assets are held for beneficiaries and are not at the disposal of any treasury, rather than a fund of the Union. The insulation of the Reserve from public finances is not an administrative preference but a constitutive feature: it is what makes this Regulation a mechanism of ownership rather than of taxation.
- (22)** Income from holdings in undertakings governed by the law of a third country may be taxed at source in that country at rates which the Reserve, being resident in no State, may be unable to reduce by treaty. The remedy, where there is one, lies in international agreements, which are concluded in accordance with the procedures laid down in the Treaties and which this Regulation neither prejudices nor requires. This Regulation does not direct the Reserve to arrange its holdings so as to reduce taxation in a third country; an instrument founded on the proposition that capital should be broadly owned is in no position to legislate its own treaty shopping. What this Regulation can do, and does, is oblige the Reserve to report each year the amount it was unable to recover, so that the cost is known rather than assumed away.
- (23)** The Reserve should be a passive owner. It should exercise no votes, seek no influence over the management of any undertaking and pursue no industrial policy. Its function is to hold and to distribute, not to direct. The mandatory presence of the Reserve in the capital of covered undertakings restricts the free movement of capital. That restriction is justified: it serves the general interest set out in these recitals, it applies without distinction to undertakings and investors of the Union and of third countries, and it is proportionate precisely because the statutory passivity of the Reserve withholds from it every attribute of special control that has led the Court of Justice to censure public shareholdings. A holding which can neither vote nor veto nor instruct exerts no public influence for an investor to fear.
- (24)** The Reserve should retain from its income what is necessary to preserve the real value of its capital and distribute the remainder. That rule, drawn from the practice of long-horizon sovereign funds, means distributions grow with the portfolio and compound across decades. It also means distributions begin modestly. This Regulation makes no promise of substantial early payments and should not be presented as making one; its horizon is generational.
- (25)** Every citizen of the Union who has reached the age of 18 years should hold an equal entitlement in the Reserve by operation of law, without application, means test or condition. Universality is design, not generosity: a means-tested entitlement would divide the population into contributors and recipients, invite perpetual contestation of the boundary and convert an ownership stake into a welfare payment. An equal entitlement held by all is defensible by all.
- (26)** The entitlement should be personal. It should be incapable of transfer, assignment, pledge, attachment, surrender or redemption, so that it cannot be bought out of the hands of those it serves, whether by markets, by creditors or by the holder's own moment of hardship. That restriction on the alienability of the entitlement is a justified and proportionate limitation under Article 52(1) of the Charter and respects the essence of the right, since it attaches to the

underlying entitlement only, while amounts distributed are the holder's property, freely usable and inheritable, and it is necessary so that the objective of durable, broadly held capital ownership is not defeated by immediate liquidation. Amounts distributed, once received, are ordinary property of the holder, inheritable and freely usable.

- (27)** Member States should administer entitlements through national vehicles, since Member States hold the civil registries and payment infrastructure that administration requires. Administration fees should be capped and entitlements portable, so that the quality of a Member State's administration cannot diminish the substance of a citizen's entitlement. The cap on fees limits the freedom of designated vehicles to set prices; that limitation is necessary and proportionate to prevent the erosion of the entitlement by administrative costs. The administration of entitlements is a service of general economic interest, and the cap is compatible with the freedom to conduct a business on the conditions Article 106(2) TFEU attaches to such services and proportionate under Article 52(1) of the Charter; Member States remain free to compensate designated vehicles for verifiable net costs above the cap.
- (28)** The history of pooled public assets is a history of raids. The assets of the Reserve should therefore be protected by enumerated prohibitions on lending, guarantee, transfer and encumbrance in favour of public authorities, and the Reserve should not acquire sovereign debt, so that it cannot become a captive purchaser of the obligations of any government. The exclusion of sovereign debt is a rule of portfolio governance internal to the Reserve, securing its independence, and restricts no movement of capital by any other person. An ordinary regulation cannot bind future legislatures, and this Regulation does not pretend otherwise; what it can do is ensure that no derogation from these protections arises by interpretation, and that any future weakening would need to be enacted expressly, in public, informed by the independent assessment its reporting provisions require.
- (29)** Penalties for non-compliance should be effective, proportionate and dissuasive, and set at a level meaningful to undertakings of the scale designated. Fines and periodic penalty payments should accrue to the general budget of the Union and not to the Reserve, so that the body holding assets for citizens never acquires a financial interest in the punishment of undertakings. Where an undertaking governed by the law of a third country persistently refuses to comply with its core obligations, the Commission should be empowered, as a measure of last resort and subject to proportionality, to prohibit the making available of the relevant goods and services on the internal market, since no other means of enforcement reaches an undertaking with no assets in the Union. Such a prohibition restricts the freedom to conduct a business recognised by Article 16 of the Charter of Fundamental Rights of the European Union, and should accordingly remain available only where no less restrictive measure can secure compliance, for as long as the refusal persists and no longer. So conditioned, the prohibition respects the essence of that freedom: it is temporary, reversible on compliance and confined to the goods and services concerned, and it leaves the undertaking's activity outside the internal market untouched.
- (30)** The premise of this Regulation, that automation at the designated scale durably decouples output from labour and concentrates ownership, is an empirical claim, and empirical claims can prove wrong. The Commission should monitor adoption, employment effects and ownership

concentration, and where the evidence does not support the premise, should state so expressly and propose amendment or repeal. A regulation founded on a falsifiable claim should carry its own test.

- (31)** In order to keep the methodologies for counting turnover, employment and value, and for calculating the retention necessary to preserve the real capital of the Reserve, aligned with technological and market developments, the power to adopt acts in accordance with Article 290 of the Treaty on the Functioning of the European Union should be delegated to the Commission in respect of amendments to Annexes I and II. The essential elements of this Regulation, including the designation criteria, the percentage and terms of the warrant, the entitlement and its protections, are laid down in the enacting terms and are not subject to delegation. It is of particular importance that the Commission carry out appropriate consultations during its preparatory work, including at expert level, and that those consultations be conducted in accordance with the principles laid down in the Interinstitutional Agreement of 13 April 2016 on Better Law-Making. In particular, to ensure equal participation in the preparation of delegated acts, the European Parliament and the Council receive all documents at the same time as Member States' experts, and their experts systematically have access to meetings of Commission expert groups dealing with the preparation of delegated acts.
- (32)** In order to ensure uniform conditions for the implementation of this Regulation as regards the establishment of the list of independent valuers and their appointment, implementing powers should be conferred on the Commission. Those powers should be exercised in accordance with Regulation (EU) No 182/2011 of the European Parliament and of the Council.
- (33)** The administration of entitlements involves the processing of personal data, limited to what the identification of holders and the execution of distributions require. That processing is necessary for the performance of a task carried out in the public interest, and no data beyond those fields should be collected or retained. Regulation (EU) 2016/679 applies to such processing. The European Data Protection Supervisor was consulted in accordance with Article 42(1) of Regulation (EU) 2018/1725 of the European Parliament and of the Council and delivered an opinion on [date].
- (34)** Since the objective of this Regulation, namely to ensure on the basis of harmonised rules that the gains of hyper-automated production in the internal market are broadly owned, cannot be sufficiently achieved by the Member States, because the undertakings concerned operate across the entire internal market and national measures would create the very divergence this Regulation removes, but can rather, by reason of its scale and effects, be better achieved at Union level, the Union may adopt measures, in accordance with the principle of subsidiarity as set out in Article 5 of the Treaty on European Union. In accordance with the principle of proportionality as set out in that Article, this Regulation does not go beyond what is necessary in order to achieve that objective.
- (35)** This Regulation respects the fundamental rights and observes the principles recognised by the Charter of Fundamental Rights of the European Union, in particular Articles 16, 17, 20, 34 and 47 thereof, concerning respectively the freedom to conduct a business, the right to property, equality before the law and the right to an effective remedy and to a fair trial.

(36) Application of the substantive obligations of this Regulation should be deferred so that undertakings, Member States and the Commission can prepare, while the notification obligation applies from entry into force so that the first designations follow without delay,

Article 1: Subject matter and scope

- 1.** This Regulation lays down harmonised rules ensuring the participation of citizens of the Union in the capital value created by hyper-automated undertakings operating in the internal market.
- 2.** To that end, this Regulation establishes:
 - (a) criteria and a procedure for the designation of covered undertakings;
 - (b) an obligation on covered undertakings to issue citizens' capital warrants to the European Citizens' Capital Reserve;
 - (c) the European Citizens' Capital Reserve and the rules governing its holdings and conduct;
 - (d) an individual entitlement of citizens of the Union to distributions from the Reserve, administered through national vehicles;
 - (e) rules protecting the Reserve and individual entitlements.
- 3.** This Regulation applies to undertakings offering goods or services in the internal market, irrespective of their place of establishment.
- 4.** This Regulation is without prejudice to Directive (EU) 2016/2341 and to Regulation (EU) 2019/1238, save as expressly provided in Article 11.

Article 2: Definitions

For the purposes of this Regulation, the following definitions apply:

- (1) 'undertaking' means an entity engaged in an economic activity, regardless of its legal status and the way in which it is financed, including all linked enterprises within the meaning of Article 3(3) of the Annex to Recommendation 2003/361/EC;
- (2) 'covered undertaking' means an undertaking designated pursuant to Article 3;
- (3) 'automated cognitive services' means services whose provision depends to a significant extent on software systems, including artificial intelligence systems within the meaning of Article 3(1) of Regulation (EU) 2024/1689, performing tasks that would otherwise require human cognitive labour;
- (4) 'citizens' capital warrant' means a financial instrument issued pursuant to Article 5 which confers the right to subscribe for shares in a covered undertaking;
- (5) 'Reserve' means the European Citizens' Capital Reserve established by Article 8;
- (6) 'liquidity event' means any of the following:
 - (a) the admission of shares of the covered undertaking to trading on a regulated market or multilateral trading facility, in the Union or in a third country;
 - (b) a change of control of the covered undertaking;
 - (c) one or more transactions within any period of 12 months by which shares representing at least 20 % of the capital of the covered undertaking are transferred for consideration;
- (7) 'change of control' means the acquisition, directly or indirectly, of decisive influence over the covered undertaking within the meaning of Article 3(2) of Regulation (EC) No 139/2004;
- (8) 'full-time equivalent' means the annual working time of one person employed full time, calculated in accordance with Annex I and including labour contracted from third parties in accordance with point 3 of that Annex;
- (9) 'fair market value' means the value determined in accordance with Annex I on the basis of the most recent funding transaction, independent valuation or observable market price, whichever is most recent;
- (10) 'holder' means a natural person in whom an entitlement is vested pursuant to Article 10;
- (11) 'national vehicle' means the body or arrangement designated by a Member State pursuant to Article 11 to administer entitlements;
- (12) 'distribution' means a payment made from the Reserve to holders pursuant to Article 10;
- (13) 'shareholder extraction' means, in respect of a covered undertaking and a period, the aggregate value transferred by it to its shareholders, to undertakings within the same group, to persons controlling it and to persons connected with any of them, a person being connected where the same natural persons hold, directly or indirectly, the majority of the economic rights in both,

comprising:

- (a) dividends and other distributions, consideration paid for the repurchase or redemption of its own shares, and reductions of capital paid out;
- (b) repayments of principal on debt owed to any such person, and loans made to and claims acquired on any such person to the extent not repaid or realised within twelve months;
- (c) interest on such debt, and payments for the use of intellectual property, for management and for other services rendered by any such person, in each case to the extent that the payment exceeds what would have been agreed between independent undertakings;

(14) 'automated assets' means the software systems referred to in point (3), the model parameters, training and inference infrastructure, data sets and intellectual property rights on which the provision of the goods or services referred to in Article 3(1)(a) principally depends.

Article 3: Designation of covered undertakings

1. An undertaking shall be designated as a covered undertaking where:
 - (a) it provides automated cognitive services, or goods or services whose production depends to a significant extent on automated cognitive systems, in the internal market;
 - (b) the economic output of the undertaking is substantially decoupled from its employment of labour; and
 - (c) the position referred to in points (a) and (b) is durable.
2. An undertaking shall be presumed to satisfy:
 - (a) point (a) of paragraph 1, where it achieves an annual Union turnover equal to or above EUR 7,5 billion, or where its fair market value amounts to at least EUR 75 billion, and it provides the goods or services referred to in that point in at least three Member States;
 - (b) point (b) of paragraph 1, where its annual worldwide turnover from the provision of the goods and services referred to in point (a) of paragraph 1, divided by the number of full-time equivalents engaged in that provision, each calculated in accordance with Annex I, equals or exceeds EUR 5 million;
 - (c) point (c) of paragraph 1, where the thresholds in points (a) and (b) of this paragraph were met in each of the last two financial years.
3. Where an undertaking meets all the thresholds laid down in paragraph 2, it shall notify the Commission thereof within two months after those thresholds are met, providing the information listed in Annex I. A failure to notify shall not prevent designation on the basis of the facts available to the Commission.
4. The Commission shall, without undue delay and at the latest 45 working days after receiving the complete information referred to in paragraph 3, designate by decision the undertaking as a covered undertaking.
5. The undertaking may, with its notification, present sufficiently substantiated arguments demonstrating that, exceptionally, although it meets all the thresholds in paragraph 2, it does not satisfy the requirements of paragraph 1. Those arguments shall be taken into account only where they manifestly call the presumption into question; arguments based on the definition of the relevant market shall not be taken into account. Where such arguments require detailed assessment, the Commission may open a market investigation pursuant to Article 4(1) instead of designating within the period laid down in paragraph 4.
6. The Commission may designate as a covered undertaking any undertaking that satisfies the requirements of paragraph 1 without meeting the thresholds of paragraph 2, following a market investigation conducted pursuant to Article 4.
7. The obligations laid down in this Regulation shall apply to a covered undertaking irrespective of whether its shares are admitted to trading, and designation shall precede any liquidity event wherever the thresholds of paragraph 2 are met before that event.
8. An undertaking shall not segment, divide, combine or restructure its activities, or acquire or dispose of undertakings, where the main purpose or one of the main effects thereof is to avoid

meeting the thresholds laid down in paragraph 2. The Commission shall disregard any such arrangement when applying this Regulation, and shall likewise disregard any attribution of consideration the main purpose or one of the main effects of which is to reduce the turnover referred to in point (b) of paragraph 2.

- 9.** The Commission is empowered to adopt delegated acts in accordance with Article 15 to amend the methodology laid down in Annex I where necessary to reflect technological and market developments. Those delegated acts shall not amend the thresholds laid down in paragraph 2.

Article 4: Market investigation and review of designation

- 1.** The Commission may conduct a market investigation for the purpose of Article 3(6). It shall conclude the investigation within 12 months by a decision designating the undertaking or closing the investigation.
- 2.** The Commission shall review each designation at least every three years, and whenever the covered undertaking so requests on the basis of a substantial change in the facts on which the designation was based.
- 3.** The Commission shall repeal a designation where the covered undertaking has not satisfied the requirements of Article 3(1) for two consecutive financial years. Repeal shall not be granted where the failure to satisfy those requirements results from an arrangement referred to in Article 3(8). Repeal shall not affect a citizens' capital warrant already issued, save that a warrant shall lapse five years after repeal if it has not crystallised by that date.
- 4.** Before adopting a decision under this Article or under Article 3, the Commission shall communicate its preliminary findings to the undertaking concerned and give it the opportunity to be heard within a period of not less than 20 working days.

Article 5: The citizens' capital warrant

1. Within three months of its designation, a covered undertaking shall issue to the Reserve a citizens' capital warrant. It shall not be required to issue more than one such warrant in respect of the same designation.
2. The citizens' capital warrant shall entitle the Reserve, upon the first liquidity event following issuance or upon crystallisation under paragraph 3, whichever occurs first, and upon no other occasion, to subscribe at nominal value for newly issued shares representing 3 % of the fully diluted capital of the covered undertaking determined immediately before that event or, in the case of paragraph 3, immediately before the date of crystallisation.
3. The citizens' capital warrant shall also crystallise, and shall be exercisable on the same terms, where either of the following occurs before a liquidity event:
 - (a) shareholder extraction by the covered undertaking in any period of three consecutive financial years exceeds 25 % of its turnover from the goods and services referred to in Article 3(1) over the same period;
 - (b) seven years have elapsed since the issuance of the warrant.

Crystallisation under this paragraph shall take effect on the last day of the financial year in which the condition is met, and the valuation under Article 6 shall be performed as at that date.

4. The citizens' capital warrant shall:
 - (a) confer no voting rights, no rights of information beyond those provided in this Regulation and no right to participate in the management of the covered undertaking;
 - (b) entitle the Reserve to shares which rank, as regards dividends, other distributions and the proceeds of any sale, liquidation or winding up, equally with the class of shares ranking most favourably in those respects among the classes created after the designation of the covered undertaking, and otherwise equally with its ordinary shares, without affecting the ranking of claims of creditors;
 - (c) be incapable of settlement in cash or in assets other than the shares referred to in paragraph 2;
 - (d) be non-transferable, save to a successor of the Reserve established by Union legislative act;
 - (e) impose no obligation on the covered undertaking prior to a liquidity event other than the notification obligation in paragraph 6.

Shares subscribed pursuant to the citizens' capital warrant shall be non-voting for as long as they are held by the Reserve.

5. The right to the subscription referred to in paragraph 2 shall vest by operation of law at the completion of the liquidity event or on the date of crystallisation under paragraph 3. The number of shares to be subscribed shall be determined by the valuation under Article 6, and the subscription shall be executed accordingly. Where the law governing the covered undertaking does not give effect to the first sentence, the covered undertaking shall take all measures necessary to procure a subscription of equivalent effect no later than the completion of the liquidity event or, in the case of crystallisation under paragraph 3, no later than three months

after the date of crystallisation. The dilution resulting from the subscription shall not exceed the percentage laid down in paragraph 2. The covered undertaking shall execute the subscription within 20 working days of the delivery of the valuation referred to in Article 6, and the Reserve shall pay up the shares in full in cash at their nominal value upon execution.

6. A covered undertaking shall notify the Reserve and the Commission of any impending liquidity event no later than the earlier of its public announcement and 30 working days before its completion.
7. Article 49, Article 68(1), (2) and (3), the first subparagraph of Article 70(2), Article 72 and Article 73 of Directive (EU) 2017/1132, and any corresponding provisions of the law of a Member State conferring pre-emption rights, requiring a decision of the general meeting or requiring an expert report on consideration, shall not apply to the issuance of the citizens' capital warrant or to the subscription of shares pursuant to it. Provisions of the law of a Member State restricting the proportion, issuance conditions or characteristics of non-voting shares shall not apply to the extent that they would prevent the issuance or holding of shares pursuant to this Article.
8. The issuance of the citizens' capital warrant and the issuance, offer and subscription of shares pursuant to this Article shall not constitute an offer of securities to the public for the purposes of Regulation (EU) 2017/1129, and the admission to trading of those shares shall be exempt from the obligation to publish a prospectus under that Regulation where shares of the same class are already admitted to trading on the same regulated market.
9. The valuation of the fully diluted capital for the purposes of paragraphs 2 and 3 shall be performed by an independent valuer appointed in accordance with Article 6, and shall be open to challenge before the courts in accordance with Article 7 separately from any other element of the designation or the event.
10. An arrangement that subordinates, reduces or defeats the economic participation conferred by this Article shall not be effective as against the Reserve, which shall be placed in the position it would have occupied had the arrangement not been made; the arrangement shall remain effective between the parties to it and as against third parties. In particular, the issuance of shares ranking ahead of those held or subscribable by the Reserve, any alteration of the rights attaching to any class of shares, and any reorganisation of capital shall be of no effect as against the Reserve to the extent that its main purpose or one of its main effects is to place the Reserve in a position less favourable than that provided for in paragraph 4(b).
11. Where a covered undertaking transfers automated assets to another undertaking, whether by sale, contribution, licence, demerger, division or otherwise, and the transfer is not made at arm's length or the transferee is a member of the same group or is controlled, directly or indirectly, by persons who control the covered undertaking, the transferee shall issue to the Reserve a citizens' capital warrant in accordance with paragraph 1 as if it were a covered undertaking, and the obligations of the covered undertaking under this Article shall continue in respect of the automated assets it retains. The aggregate of the subscriptions to which the Reserve is entitled in respect of the same designation, under this paragraph and under paragraph 2, shall not exceed the percentage laid down in paragraph 2 of the combined fully diluted capital of the covered

undertaking and of every transferee, and the valuation under Article 6 shall determine the subscription in each of them accordingly.

- 12.** Where the automated assets of a covered undertaking are acquired by another undertaking in or in consequence of insolvency proceedings, a restructuring procedure, including a procedure under Directive (EU) 2019/1023, or any comparable procedure, and, upon completion, the transferee is controlled directly or indirectly by persons who controlled the covered undertaking, or those persons hold, directly or indirectly, the majority of the economic rights in the transferee, the obligations under this Article shall attach to the transferee as if it were the covered undertaking, and the transferee shall issue a citizens' capital warrant afresh within three months of the completion of the acquisition.

For the purposes of this paragraph, persons acting in concert with those who controlled the covered undertaking, and persons connected with them, shall be treated as those persons; and where any of them acquires control of the transferee, at any time while it holds the automated assets, the obligations under this Article shall attach to the transferee from the date of that acquisition.

This paragraph shall not otherwise apply where control of the transferee is acquired by persons who did not control the covered undertaking, and in that case the extinguishment of a warrant in such a procedure shall give rise to no obligation under this Article.

Article 6: Independent valuation

1. The valuation referred to in Article 5(9) shall be performed by a valuer who is independent of the covered undertaking, of the Reserve and of any party to the liquidity event, appointed by the Commission from a list established after an open call. The Commission shall establish the list and the criteria and rotation governing appointments from it by means of implementing acts, adopted in accordance with the examination procedure referred to in Article 16(2). An individual appointment shall be made by decision of the Commission in accordance with those criteria and that rotation, and shall not require that procedure.
2. The valuation shall determine the fully diluted capital of the covered undertaking immediately before the liquidity event or, in the case of crystallisation under Article 5(3), immediately before the date of crystallisation, in accordance with internationally accepted valuation standards and, where an event itself establishes a price, on the basis of that price.
3. The valuer shall deliver the valuation within 20 working days of the completion of the liquidity event or of the date of crystallisation under Article 5(3). The costs of the valuation shall be borne by the covered undertaking.
4. Where a court finds, pursuant to Article 7, that the valuation overstated the fully diluted capital, the Reserve shall transfer back to the covered undertaking, or cancel, the shares subscribed in excess of the percentage laid down in Article 5(2). Where a court finds that the valuation understated it, the covered undertaking shall issue the missing shares to the Reserve.
5. A challenge to the valuation shall not suspend the liquidity event, the crystallisation or the subscription.

Article 7: Safeguards and judicial review

- 1.** A challenge to the valuation referred to in Article 6 may be brought, separately from any challenge to the designation, to the liquidity event or to the crystallisation under Article 5(3), before the courts of the Member State in which the covered undertaking has its registered office or, where it has none in the Union, before the Court of Justice of the European Union.
- 2.** The dilution borne by the shareholders of a covered undertaking in consequence of this Regulation shall not exceed the percentage laid down in Article 5(2), determined on the basis of the valuation under Article 6 as corrected, where applicable, pursuant to Article 6(4). Where warrants have been issued by transferees pursuant to Article 5(11), that percentage applies to the dilution borne, taken together, by the shareholders of the covered undertaking and of every such transferee.
- 3.** This Regulation shall not affect any right of shareholders to compensation under the law of a Member State against parties other than the Reserve.

Article 8: The European Citizens' Capital Reserve

- 1.** The European Citizens' Capital Reserve is established. The Reserve shall have legal personality and shall enjoy in each Member State the most extensive legal capacity accorded to legal persons under the law of that Member State.
- 2.** The Reserve shall hold its assets exclusively for the benefit of holders. Its assets and income shall not constitute revenue of the Union or of any Member State and shall not be entered in the general budget of the Union or in any public budget.
- 3.** The Reserve shall be financed exclusively by the instruments referred to in Article 5, by the proceeds of their crystallisation and by the returns on its assets. It shall receive no contribution from, and shall make no payment to, the general budget of the Union or the budget of any Member State.
- 4.** The Reserve shall retain from its realised income in each financial year the amount necessary to preserve the real value of its capital, calculated in accordance with the methodology laid down in Annex II, and shall make the remainder available for distribution pursuant to Article 10(6). No distribution shall be financed by borrowing or by the disposal of holdings effected for the purpose of the distribution.
- 5.** The Reserve shall state in its accounts, for each financial year, the amount of tax withheld at source which it was unable to recover, and the Commission shall address that amount in the report referred to in Article 14(2).
- 6.** The Reserve shall publish annually audited accounts, the valuation of its holdings and the calculation referred to in paragraph 4.
- 7.** The Reserve shall not be considered an investment firm within the meaning of Directive 2014/65/EU, an alternative investment fund or an alternative investment fund manager within the meaning of Directive 2011/61/EU, or an institution for occupational retirement provision within the meaning of Directive (EU) 2016/2341.
- 8.** The Commission is empowered to adopt delegated acts in accordance with Article 15 to amend the methodology laid down in Annex II where necessary to preserve the real value of the capital of the Reserve in the light of market developments.

Article 9: Prohibited holdings and conduct of the Reserve

- 1.** The Reserve shall not:
 - (a) exercise, directly or indirectly, any voting right attached to any share it holds;
 - (b) seek or accept representation in the administrative, management or supervisory bodies of any undertaking;
 - (c) give instructions, formally or informally, to any undertaking in which it holds an interest;
 - (d) acquire an interest in any undertaking otherwise than pursuant to Article 5, by reinvestment of its income or by prudent diversification of crystallised holdings;
 - (e) borrow, save for temporary liquidity purposes not exceeding 2 % of the value of its assets and save for the payment of subscription amounts under Article 5(5), which borrowing shall be repaid from the first realised income of the Reserve;
 - (f) grant loans or guarantees;
 - (g) enter into derivative contracts, save for hedging currency risk on assets it holds.
- 2.** The Reserve shall manage its holdings with the sole objective of long-term preservation and growth of value for the benefit of holders.

Article 10: The citizens' entitlement

1. Every citizen of the Union who has attained the age of 18 years shall hold an entitlement under this Regulation.
2. The entitlement shall arise by operation of law. It shall not be subject to any condition relating to income, wealth, employment, contribution history or any other personal circumstance, nor to any application, save registration for payment purposes with a national vehicle.
3. All entitlements shall be equal. No act of the Union or of a Member State shall differentiate between holders in the amount distributed per holder in respect of the same period.
4. The entitlement shall comprise:
 - (a) the right to an equal share of every distribution declared by the Reserve in respect of a period during which the holder was living and met the condition in paragraph 1; and
 - (b) the right to have undistributed amounts standing to the holder's account with a national vehicle treated as the holder's property, which shall be inheritable in accordance with the law applicable to succession.
5. The entitlement referred to in paragraph 4(a) shall be personal to the holder. It shall be incapable of assignment, pledge, attachment or seizure, and it shall not be capable of surrender or redemption against payment.
6. The Reserve shall declare a distribution in each calendar year in which the distributable amount would provide each holder with not less than ten times the average cost of executing one payment to a holder, calculated in accordance with Annex II, and in any event not less often than once in every third calendar year in which the distributable amount is greater than zero. An amount not distributed by reason of this paragraph shall be retained, shall form part of the capital of the Reserve and shall be distributed in the next distribution. Distributions shall be paid through national vehicles into the individual account of each holder.
7. In each year in which no distribution is declared, the Reserve shall publish the amount which would have been distributed per holder and the value of the capital of the Reserve per holder.

Article 11: National vehicles

1. Each Member State shall designate, within 12 months of the entry into force of this Regulation, one or more national vehicles to administer entitlements. Existing institutions within the meaning of Directive (EU) 2016/2341, providers within the meaning of Regulation (EU) 2019/1238 and statutory funds may be designated. By way of derogation from Article 7 of Directive (EU) 2016/2341, an institution designated as a national vehicle may carry out the account administration and distribution activities provided for in this Regulation. A provider within the meaning of Regulation (EU) 2019/1238 designated as a national vehicle shall maintain holders' accounts separately from any product governed by that Regulation, and the requirements of that Regulation shall not apply to those accounts.
2. A national vehicle shall:
 - (a) maintain an individual account in the name of each holder registered with it;
 - (b) credit distributions to holders' accounts without deduction other than charges permitted under paragraph 3;
 - (c) treat amounts standing to a holder's account as the holder's property in accordance with Article 10(4)(b);
 - (d) apply no condition of access other than identity and the condition in Article 10(1).
3. Charges levied by a national vehicle on holders shall not exceed the costs actually incurred in administering the accounts and in any event 0,3 % annually of the amounts administered. A Member State may compensate a national vehicle for verifiable net costs exceeding that ceiling; such compensation shall not be charged to holders or to the Reserve.
4. Where a Member State has not designated a national vehicle, or where the designated vehicle does not comply with paragraph 2, a holder residing in that Member State may register with a national vehicle of another Member State, which shall not refuse the registration on grounds of residence. Where a national vehicle registers a holder pursuant to this paragraph, the Member State of residence of that holder shall reimburse that national vehicle for verifiable net costs exceeding the ceiling laid down in paragraph 3.
5. National vehicles shall process personal data in accordance with Regulation (EU) 2016/679 and only for the purposes of this Regulation.

Article 12: Protection of the Reserve and of entitlements

- 1.** The assets of the Reserve and the entitlements of holders shall not be cancelled, written down, compulsorily redeemed, seized, transferred, suspended, lent, encumbered or otherwise applied, in whole or in part, for the benefit of the general budget of the Union, of any Member State or of any public body, by any act of the Union or of a Member State.
- 2.** The Reserve shall not acquire or hold, directly or indirectly, debt instruments issued or guaranteed by the Union, by a Member State, by a regional or local authority of a Member State, by a central bank or by any body the obligations of which are guaranteed by any of them.
- 3.** This Regulation shall not be interpreted as authorising any authority of the Union or of a Member State to derogate from paragraphs 1 and 2.
- 4.** Every holder, and every national vehicle acting for its holders, shall have the right to an effective remedy before a court or tribunal against any act or omission infringing this Article, in accordance with Article 47 of the Charter of Fundamental Rights of the European Union.

Article 13: Penalties

1. The Commission may by decision impose on a covered undertaking fines not exceeding 10 % of its total worldwide turnover in the preceding financial year where it finds that the undertaking, intentionally or negligently:
 - (a) fails to issue the citizens' capital warrant in accordance with Article 5(1);
 - (b) fails to take the measures required by the third sentence of Article 5(5);
 - (c) fails to notify a liquidity event in accordance with Article 5(6);
 - (d) supplies incorrect, incomplete or misleading information under Article 3(3) or Article 4;
 - (e) circumvents Article 3(8), or fails to comply with a decision adopted pursuant to that paragraph.
2. The Commission may by decision impose periodic penalty payments not exceeding 5 % of the average daily worldwide turnover of the covered undertaking in the preceding financial year for each day of continued non-compliance, in order to compel compliance with the obligations referred to in paragraph 1.
3. Where a covered undertaking that is not established in the Union persistently fails to comply with the obligations referred to in points
 - (a) and (b) of paragraph 1, the Commission may by decision, as a measure of last resort and for no longer than the non-compliance persists, prohibit the making available of the goods and services referred to in point (a) of Article 3(1) on the internal market by that undertaking.
4. In fixing the amount of a fine or periodic penalty payment, the Commission shall have regard to the gravity, duration and recurrence of the infringement. Before adopting a decision under this Article, the Commission shall give the undertaking the opportunity to be heard.
5. The Court of Justice of the European Union shall have unlimited jurisdiction within the meaning of Article 261 TFEU to review decisions under this Article and may cancel, reduce or increase the fine or periodic penalty payment imposed.
6. Fines and periodic penalty payments imposed under this Article shall accrue to the general budget of the Union. They shall not accrue to the Reserve.

Article 14: Monitoring and evaluation

1. The Commission shall monitor, on the basis of data published by the European Central Bank, Eurostat and the national statistical institutes:
 - (a) the diffusion of automated cognitive systems among undertakings in the Union;
 - (b) the distribution of household holdings of equity instruments in the Union;
 - (c) the share of value added accruing to labour and to capital in the sectors in which covered undertakings operate;
 - (d) the number of designations, crystallisations and distributions under this Regulation and their amounts.
2. By 31 December 2032, and every three years thereafter, the Commission shall evaluate this Regulation and submit a report to the European Parliament, the Council and the European Economic and Social Committee.
3. The report shall state, on the basis of the indicators in paragraph 1, whether the premise of this Regulation that gains from automated cognitive systems accrue disproportionately to the holders of the systems remains supported by the evidence. Where the report finds that the share of undertakings referred to in point (a) of paragraph 1 exceeds one quarter and that neither the indicator in point (b) nor the indicator in point (c) of that paragraph shows the concentration the premise predicts, the report shall say so expressly and shall be accompanied, where appropriate, by a proposal for the amendment or repeal of this Regulation.
4. Where a report under paragraph 2 accompanies or precedes a proposal for the amendment of Article 5, Article 8, Article 10 or Article 12, it shall include an independent assessment of the effect of the proposal on the entitlements of holders.
5. The report shall be published.

Article 15: Exercise of the delegation

1. The power to adopt delegated acts is conferred on the Commission subject to the conditions laid down in this Article.
2. The power to adopt delegated acts referred to in Article 3(9) and Article 8(8) shall be conferred on the Commission for a period of five years from the entry into force of this Regulation. The Commission shall draw up a report in respect of the delegation of power not later than nine months before the end of the five-year period. The delegation of power shall be tacitly extended for periods of an identical duration, unless the European Parliament or the Council opposes such extension not later than three months before the end of each period.
3. The delegation of power referred to in Article 3(9) and Article 8(8) may be revoked at any time by the European Parliament or by the Council. A decision to revoke shall put an end to the delegation of the power specified in that decision. It shall take effect the day following the publication of the decision in the Official Journal of the European Union or at a later date specified therein. It shall not affect the validity of any delegated acts already in force.
4. Before adopting a delegated act, the Commission shall consult experts designated by each Member State in accordance with the principles laid down in the Interinstitutional Agreement of 13 April 2016 on Better Law-Making.
5. As soon as it adopts a delegated act, the Commission shall notify it simultaneously to the European Parliament and to the Council.
6. A delegated act adopted pursuant to Article 3(9) or Article 8(8) shall enter into force only if no objection has been expressed either by the European Parliament or by the Council within a period of two months of notification of that act to the European Parliament and the Council or if, before the expiry of that period, the European Parliament and the Council have both informed the Commission that they will not object. That period shall be extended by two months at the initiative of the European Parliament or of the Council.

Article 16: Committee procedure

- 1.** The Commission shall be assisted by a committee. That committee shall be a committee within the meaning of Regulation (EU) No 182/2011.
- 2.** Where reference is made to this paragraph, Article 5 of Regulation (EU) No 182/2011 shall apply.

Article 17: Transitional provisions

- 1.** An undertaking that meets the thresholds laid down in Article 3(2) on the date of entry into force of this Regulation shall make the notification under Article 3(3) within two months of that date.
- 2.** Where the shares of a covered undertaking were admitted to trading before the entry into force of this Regulation, that admission shall not constitute a liquidity event. The citizens' capital warrant of such an undertaking shall crystallise upon the first liquidity event within the meaning of point (b) or point (c) of Article 2(6) occurring after its designation, or upon crystallisation under Article 5(3), whichever occurs first.
- 3.** A liquidity event completed before the entry into force of this Regulation shall not give rise to any obligation under Article 5.

Article 18: Entry into force and application

- 1.** This Regulation shall enter into force on the twentieth day following that of its publication in the Official Journal of the European Union.
- 2.** It shall apply from [OP: please insert the date 18 months after the date of entry into force of this Regulation], with the exception of Article 3(3), Article 11(1) and Article 17(1), which shall apply from the date of entry into force of this Regulation.
- 3.** This Regulation shall be binding in its entirety and directly applicable in all Member States.

Annex I: Methodology for turnover, employment and value

1. Union turnover

Annual Union turnover comprises the amounts derived by the undertaking during the financial year from the sale of products and the provision of services to undertakings or consumers in the Union, after deduction of sales rebates and of value added tax and other taxes directly related to turnover. Turnover is attributed to the Union where the customer is established or, in the case of consumers, resident in the Union. Intra-group transactions are excluded. Where the undertaking comprises linked enterprises, turnover is calculated on a consolidated basis.

2. Turnover of the automated segment

The turnover referred to in point (b) of Article 3(2) comprises the worldwide turnover derived from the provision of the goods and services referred to in point (a) of Article 3(1). Where such goods or services are sold together with other goods or services for a single consideration, the consideration is attributed between them on a consistent and documented basis reflecting their relative stand-alone value.

3. Full-time equivalents

The number of full-time equivalents engaged in the provision referred to in point 2 comprises: (a) persons employed by the undertaking, in proportion to their annual working time relative to full-time employment; (b) persons placed at the disposal of the undertaking, or performing services which form part of that provision, under contracts with third parties, including temporary agency work, service contracts and subcontracting, in the same proportion; (c) persons engaged through any other arrangement the substance of which is the supply of labour to that provision. A person is counted under only one of points (a) to (c). The number is the annual average for the financial year. Labour engaged in the development, maintenance, supervision and support of the automated cognitive systems concerned forms part of the provision.

4. Fair market value

Fair market value is determined by reference to the most recent of the following, adjusted for capital raised or returned since: (a) the price per share paid in the most recent transaction in which shares representing at least 2 % of the capital were issued or transferred for consideration to persons independent of the undertaking, applied to the fully diluted capital; (b) an independent valuation prepared in accordance with internationally accepted valuation standards within the preceding 12 months; (c) where shares of the undertaking are admitted to trading, the average market capitalisation over the preceding six months.

5. Information accompanying a notification

A notification pursuant to Article 3(3) contains: (a) the identity of the undertaking and of all linked enterprises; (b) the calculations referred to in points 1 to 4, with the data and attribution bases used; (c) the audited financial statements for the last two financial years; (d) a description of the goods and services referred to in point (a) of Article 3(1) which the undertaking provides, and of the automated cognitive systems on which their provision depends; (e) the law governing the undertaking and, where that law is the law of a third country, the measures by which the undertaking intends to give effect to Article 5.

Annex II: Methodology for the retention preserving real capital

1. Retention

The amount to be retained pursuant to Article 8(4) in respect of a financial year is the amount necessary so that the capital of the Reserve at the end of that year, measured at fair value, is not lower in real terms than its capital at the end of the preceding financial year, after account is taken of: (a) inflation, measured by the harmonised index of consumer prices for the Union published by the Commission (Eurostat); (b) unrealised changes in the fair value of the Reserve's holdings, to the extent recognised under point 3.

2. Distributable amount

The distributable amount for a financial year is the realised income of the Reserve for that year, comprising dividends, interest, proceeds of disposals in excess of carrying value and other realised returns, less the retention under point 1 and less the administrative costs of the Reserve. Where the retention under point 1 equals or exceeds realised income, the distributable amount is zero; the shortfall is carried forward and retained from the realised income of subsequent years before any distribution.

3. Smoothing

For the purposes of point 1, changes in fair value are recognised evenly over five financial years from the year in which they arise. The distributable amount for a financial year does not exceed the greater of: (a) 125 % of the average of the distributable amounts for the three preceding financial years; and (b) 2 % of the capital of the Reserve at the end of that year.

4. Cost of executing a payment

The average cost of executing one payment to a holder, for the purposes of Article 10(6), is the total of the charges levied by national vehicles and by payment service providers for executing the most recent distribution, divided by the number of holders paid. Where no distribution has yet been made, it is the average of the charges quoted to the Reserve by national vehicles for executing one payment.

5. Exclusions

For the purposes of point 2, realised income excludes amounts obtained by borrowing and the proceeds of disposals of holdings effected for the purpose of funding a distribution.

Memorandum: the objections, at full strength

The case against this Regulation

Drafted first, before any article, on the discipline this project inherits: if the instrument cannot survive this file, we fix the instrument, not the prose. Each objection is stated in its strongest form, with its best sources. Each ends with the design consequence it imposes. The consequences accumulate into the constraints table at the end, which is the checklist the articles must clear before anything else is written.

Objections marked **CONCEDED** are limits of the instrument that the memorandum states plainly rather than argues away. That is not a courtesy. It is what distinguishes a legal proposal from campaign copy, and it is the entire credibility strategy of this project.

A. Legal

1. This is expropriation

The objection, at full strength. A statutory requirement that undertakings issue equity warrants to a public reserve takes property. Article 17 of the Charter of Fundamental Rights protects the right to own, use and dispose of lawfully acquired possessions, and permits deprivation only in the public interest, in cases and under conditions provided for by law, and subject to fair compensation paid in good time. A compulsory warrant dilutes existing shareholders with no compensation at all; the dilution is the point. Article 345 TFEU adds that the Treaties shall in no way prejudice the rules in Member States governing the system of property ownership. The Court has narrowed Article 345 considerably, but a hostile Legal Service reading has ample material, and shareholders of affected firms will litigate from day one.

What it gets right. A warrant requirement does transfer value from existing shareholders to the reserve. Pretending dilution is not a taking of value would be dishonest, and the memorandum must not do it.

The answer the instrument must give. Three structural choices, none optional. First, the warrant must be drafted as a condition of access to the Single Market for a defined category of undertaking, prospective and uniform, in the family of regulatory obligations the Court has upheld when proportionate (capital requirements, universal service obligations, DMA gatekeeper duties), not as a seizure of existing holdings. Second, it must apply only above high, objective thresholds, so proportionality review has something to hold on to. Third, it must carry consideration: the reserve is a passive, non-controlling holder, the warrant crystallises only at liquidity events, and the covered undertaking receives the legal certainty of a single harmonised regime in place of twenty-seven national experiments. Whether that consideration is sufficient is the single largest legal risk in the project, and Gate 1 exists to test it.

Two authorities belong in this file because a hostile reader will bring them, and because each is less one-sided than it first appears. The first is Strasbourg's rule that a deprivation without an amount reasonably related to the value taken is normally disproportionate (*James and Others v United Kingdom*, 1986). The same judgment holds, in the same breath, that legitimate objectives of public interest, and expressly measures of economic reform or measures designed to achieve greater social justice, may warrant reimbursement at less than full market value. That is the authority under which this instrument has to be argued, and it is available on its terms rather than in spite of them: a 3 % dilution crystallising at a moment of realised gain, calibrated to a decoupling of output from labour, is a measure of economic reform if anything is.

The second is Article 345 TFEU. It provides that the Treaties shall in no way prejudice the rules in Member States governing the system of property ownership, and the hostile reading is that a mandatory transfer of 3 % of private enterprise value is a partial socialisation the Union may not decree. That reading mistakes the addressee. Article 345 preserves the Member States' freedom to choose between public and private ownership against the Treaties; it is not a charter of immunity for property against Union legislation, which is what Article 17 of the Charter governs and what this memorandum answers under Article 52(1). The Court has read Article 345 narrowly in precisely that direction, holding that a property regime chosen by a Member State remains subject to the fundamental freedoms (*Essent*, C-105/12 to C-107/12). The instrument leaves every Member State's system of ownership exactly as it found it: the shares subscribed are ordinary shares under national company law, held by an owner with no special rights, and no national rule about who may own what is displaced.

The drafting research (18 August) settled the architecture to use: BRRD is the judicially validated template for interfering with equity by act of law (*Kotnik* C-526/14, *Ledra* C-8/15 P, *Aeris Invest* C-535/22 P), and the instrument adopts its machinery: an honest interference recital naming Charter Article 17, a full proportionality recital under Article 52(1) of the Charter, and a quantified executional safeguard with independent, separately challengeable valuation. One adaptation is mandatory: BRRD's counterfactual is insolvency, and a permanent regime cannot lean on crisis reasoning (*Dowling* C-41/15). The distinction has to be stated rather than blurred: bank resolution dilutes shareholders whose shares would be worth nothing in the counterfactual insolvency, and these undertakings are healthy going concerns whose shares are worth a great deal. BRRD is therefore borrowed for its machinery, not for its justification, and this file does not pretend otherwise; the justification is the one in *James* and in *Hauer*, and it stands or falls on proportionality rather than on a crisis that is not happening.

One further authority is worth stating precisely, because stated loosely it would be worth nothing. In *Sky Österreich* (C-283/11, 22 January 2013) the Grand Chamber upheld a Union measure requiring holders of exclusive broadcasting rights to grant competitors access for short news reports, with compensation capped at the additional costs directly incurred, which is below what the market would pay. The rights-holders were solvent, there was no crisis and no counterfactual insolvency. **That case was decided under Article 16 of the Charter, the freedom to conduct a business, and not under Article 17.** It is not authority for a taking of equity, and this file does not offer it as one; hostile counsel would be entitled to dismantle any such use of it, and would enjoy doing so.

What it does carry is narrower and still useful. This instrument interferes with Article 16 as well as Article 17, because compelling an undertaking to issue shares it did not choose to issue is an interference with the conduct of its business, and the Commission's Legal Service will see both. On that limb *Sky Österreich* is directly in point, and it says three things: the Article 16 freedom is not absolute but must be viewed in relation to its social function; the Union legislature may set consideration below market value where the public interest requires it; and the test is the ordinary Article 52(1) one. The older line supports the same reading of business interests, which enjoy no protection as mere commercial expectations of future profit (*Nold* 4/73). *Booker Aquaculture* (C-20/00 and C-64/00) is sometimes cited alongside, and this file does not lean on it: it concerned the destruction of diseased stock under an animal-health regime, which is a public-emergency justification this instrument cannot claim.

The Article 17 limb therefore still rests where it rested, on *James* and on *Hauer*, and the honest statement is that no decided case puts a permanent, non-crisis, uncompensated equity dilution of a healthy undertaking on the right side of Article 17. That is the largest legal risk in the project and it is stated as such in the answer above. So our floor is executional rather than counterfactual: the interference can never exceed the stated 3 % in execution, its price is set by the liquidity event itself under an independent and separately challengeable valuation, and no application of the instrument may take more than the interference it names. The doctrine underneath is older than any of this: property in the Union legal order is not an unfettered prerogative but is protected in its social function, and may be restricted in the general interest where the restriction is proportionate and leaves the right's substance intact (*Hauer* 44/79; *Bosphorus* C-84/95). The instrument's restriction is quantified, event-bound and substance-preserving by construction, which is what those cases require the legislature to show.

Design consequence. DC-1: prospective warrant on future value creation at defined events, never retroactive transfer of existing shares. DC-2: high group-consolidated thresholds. DC-3: passivity, and crystallisation only at defined statutory events, never at a discretionary or political one, written into the instrument itself.

2. This is a tax, and the EU may not levy it this way

The objection, at full strength. Call it a warrant; it functions as a levy. Article 114(2) TFEU excludes fiscal provisions from internal market harmonisation, so if the measure is fiscal in substance the chosen legal base collapses; the honest bases would be Article 113 or 115, which require unanimity in Council, which is unobtainable. The Commission has refused ECIs that drift into own-resources territory, and the Legal Service reads substance, not labels. The dividend side makes it worse: a recurring payment to every adult, funded by an obligation on firms, looks like a tax-and-transfer scheme wearing a corporate-finance costume.

What it gets right. The boundary is real and the characterisation battle decides registrability. This is the objection most likely to kill the full ask at Gate 1.

The answer the instrument must give. The measure must take nothing in money from any undertaking in any year. No cash flows from firms to the state at all. The reserve receives instruments, holds them, and distributes returns on what it owns, exactly as any shareholder does.

Dividends to citizens are property income from an owned portfolio, not the proceeds of a levy: the Norwegian fund's distributions are not a tax on anyone. The drafting must police this line everywhere: no revenue-based charges, no minimum payments, no cash-settlement options that would let the obligation collapse into a fee. And the ask must be layered so that if the Legal Service still reads it as fiscal, the severable outer layer (assess and propose instruments for citizen participation in automated productivity gains) registers on its own.

Recalibration from the drafting research: registration is a lower hurdle than this objection assumes. The test is "manifestly outside" the Commission's powers (Reg 2019/788 Art 6(3)(c)), partial registration is judicially established (C-899/19 P), and the Commission registered the EU wealth-tax ECI in 2023. The characterisation fight is real but is fought in Council, after registration. The layering therefore protects the campaign moment; the warrant-not-levy drafting protects the instrument's life after it.

Design consequence. DC-4: no monetary flow from undertakings; instruments only. DC-5: distributions defined as property income of the reserve. DC-6: severable layering for partial registration.

3. The Union has no competence to pay citizens a dividend

The objection, at full strength. Even if the warrant survives, the dividend side has no home. The Union budget operates under an own-resources ceiling; a Union body paying a recurring universal benefit to every adult has no Treaty basis; social security design is a Member State competence; and subsidiarity review would ask, fairly, why citizen accounts must be European at all when Ireland, Denmark and the Netherlands run national systems that work. Table 29 makes the point against us: pension funding runs from 49.1% in the Netherlands to 0.0% in France. Systems this different cannot be harmonised, and should not be.

What it gets right. The Union genuinely cannot and should not run twenty-seven citizens' accounts from Brussels, and the proposal dies at subsidiarity review if it tries.

The answer the instrument must give. Split the instrument along the competence line. The Union harmonises what is genuinely single-market: which undertakings issue warrants, on what terms, to what kind of reserve, with what governance. Custody and distribution federate to Member States through existing rails: Denmark has LD, Ireland has MyFutureFund, Poland has PPK, the Netherlands is mid-conversion into individual DC pots. The precedent is PEPP: a Union framework, national compartments. The Union never touches the money; it defines the instrument and the minimum standards (universality, lock-up, raid-proofing) that national implementations must meet.

Design consequence. DC-7: Union-level warrant and reserve standards; Member State custody and payout through existing pension rails. DC-8: minimum standards, not uniform machinery.

B. Economic

4. Firms will pass the cost to consumers, so citizens pay their own dividend

The objection, at full strength. The incidence literature on corporate taxation is unambiguous that legal and economic incidence differ; a substantial share of corporate burdens lands on workers and consumers. A warrant obligation raises the cost of operating in Europe; covered firms reprice; the citizen's dividend arrives net of the citizen's own higher prices. The scheme is then a circular pump with deadweight loss.

What it gets right. Some pass-through of any burden is real and claiming zero incidence would be amateurish.

The answer the instrument must give. Equity dilution has materially different incidence from a flow charge. A levy on revenue enters marginal cost and prices directly; a one-time issuance of warrants exercisable at future liquidity events changes the division of a future capital gain among shareholders and does not enter this year's marginal cost at all. The firm's optimal price today is unchanged by who owns claims on its eventual exit value. Pass-through is not zero, because expected dilution can raise the cost of capital at the margin, and the memorandum should say so, with the honest note that this effect is second-order next to any revenue levy, which is precisely why the instrument is a warrant and not a levy.

Design consequence. DC-9 (reinforces DC-4): the obligation must never be convertible into a flow charge, because the incidence answer depends on it.

5. Covered firms will leave, or never come

The objection, at full strength. Draghi's report already concedes the ground: it is too late for the EU to develop systematic challengers to the major US cloud providers; the US ITK market grows at 12.7% against Germany's 4.1%; only four of the world's top fifty technology companies are European. Add a warrant obligation and the marginal AI investment goes to London, Zurich or Austin. Worse, thresholds invite structuring: a revenue-per-employee test is gamed by pushing headcount into subcontractors, exactly the offshore structuring Capgemini's numbers already show at scale.

What it gets right. Threshold gaming is certain, not possible, and the competitiveness anxiety is the strongest political headwind in Brussels this decade.

The answer the instrument must give. The obligation attaches to selling into the Single Market, not to being located in it, exactly as the DMA and GDPR attach. The empirical record since is that gatekeepers absorbed designation and stayed, because 450 million high-income consumers are not optional; the DMA investigations into AWS and Azure did not produce an exit, they produced compliance teams. Structuring is answered by consolidation: thresholds computed on group-consolidated figures including contracted-out labour by economic substance, with the burden on the undertaking to show otherwise. And the honest concession: at the margin some investment will route elsewhere, which is a real cost, to be weighed in the memorandum against the documented cost of the alternative, which is that the gains concentrate entirely outside Europe anyway. The Synergy history

is the exhibit: Europe declined to regulate its cloud market into openness, and its providers fell from 29% to 15% of their own home market unregulated.

Design consequence. DC-10: market-access nexus, not establishment nexus. DC-11: group consolidation with substance-over-form headcount rules.

6. Warrants on private companies cannot be valued, voted or sold

The objection, at full strength. The covered class is dominated by private undertakings. A reserve holding warrants on private micro-giants holds paper with no market price, no liquidity and no exit; either it pressures for early listings, distorting capital markets, or it sits on unvalued claims for a decade and the dividend it promises cannot be paid. Meanwhile the governance question is a trap in both directions: a passive mega-holder is the feeble owner of the Bebchuk critique, and an active one is a political sovereign shareholder in every major firm. Greece's HCAP shows the overcorrection: maximal raid-proofing achieved by placing the asset beyond citizens' reach entirely.

What it gets right. All of it. This is the hardest design problem in the instrument, harder than the legal base.

The answer the instrument must give. The warrant is dormant until crystallisation, whether at a liquidity event (listing, change of control, or qualifying secondary sale) or, under Article 5(3), where shareholder extraction exceeds the stated share of covered turnover or seven years have elapsed since issuance, whichever occurs first. Until then it requires no valuation, pays nothing and votes nothing; at the event it converts at the event price, with no discretion. This matches the book's own window (claim the stake while the asset forms, crystallise when the market prices it) and removes the valuation and governance problems in one move: the reserve holds non-voting economic interests, permanently, by statute, accepting the Bebchuk cost deliberately because the alternative, a politically voted stake in every large firm, is worse. The dividend in early years is funded by crystallisations, not by holdings, and the memorandum must say plainly that the dividend starts small and compounds, Norway-style, and that anyone promising otherwise is not us. Two-thirds of Norway's fund is compound return; the honest pitch is the rule, not the first cheque.

One refinement has been considered and rejected. It is put that valuations of fast-growing private undertakings are volatile enough that disputes over the dilution ratio could bog the instrument down in litigation, and that an expedited binding arbitration should therefore sit between the valuer and the courts. The instrument already answers the problem the proposal aims at, and the proposal would cost more than it saves. Article 6(5) provides that a challenge suspends neither the liquidity event nor the subscription, and Article 6(4) corrects an erroneous valuation afterwards in either direction, so a dispute delays nobody: this is the resolution-law pattern, where litigation runs beside the transaction rather than across it. Where the event itself sets a price, Article 6(2) makes the valuation arithmetic on that price rather than an opinion about it, which is where volatility would otherwise enter. And an arbitral tier whose award bound the parties would meet Article 47 of the Charter on access to a court, and the limits on conferring discretionary judgement on bodies of the Union; a tier whose award did not bind them would add a stage without removing one.

Design consequence. DC-12: event-triggered crystallisation, no ongoing valuation. DC-13: permanently non-voting economic interests. DC-14: the dividend is communicated as compounding from small, never as immediate income. DC-34: no tier may be inserted between the valuation and the courts; correction is ex post and the transaction never waits.

C. Empirical

7. The European labour share has not fallen, so the diagnosis is wrong

The objection, at full strength. AMECO, verified at source: the EU27 adjusted wage share fell 1.2 points in thirty years; Germany's is at a series high; France is above its 1995 level; compensation of employees was a larger share of EU output in 2025 than in 2015, 2019 or 2022. The corporate profit share spike of 2022 has fully reversed to below its 2019 level. The Regulation's premise, that machine-driven gains are leaving European labour, is contradicted by the best available aggregate data, and any recital claiming otherwise is checkable and wrong.

What it gets right. Everything it states. This project's own evidence base established it, and no recital may argue a European labour-share collapse.

The answer the instrument must give. The premise is ownership, not the wage share. Sixty per cent of euro-area households own their home; eleven per cent own listed shares; the top decile holds eighty-three per cent of directly held shares against the bottom half's two; the bottom half's portfolio is sixty-three per cent housing and three per cent equity. That distribution is current, verified and undisputed, and it means that however large the machine's dividend turns out to be, almost no European holds an instrument that pays it. The Regulation is insurance whose premium is cheapest before the event: if the mechanism documented at the platform layer (French software and cloud growing at +8.2% on price increases while the services layer shrinks; German software at +9.9% against services at +3.1%) reaches the aggregate labour market, the stake exists; if it never does, citizens own a diversified claim on European technology, which is not an injury. The in-time test is the answer to the premature-legislation charge, not a vulnerability of it.

Design consequence. DC-15: recitals argue ownership concentration and mechanism, never wage-share decline. DC-16: the memorandum presents the instrument's value under BOTH futures, arrival and non-arrival.

8. The best microdata finds nothing for AI to answer for

The objection, at full strength. Humlum and Vestergaard, on Danish registers covering twenty-five thousand workers: precise null effects on earnings and hours, nothing above two per cent, two years after ChatGPT. The OECD finds no break in postings for exposed occupations and a flat euro-area youth gap. The German federal government told the Bundestag there are keine Hinweise that AI has reduced entry-level chances. Only a fifth of EU firms with ten or more staff used any AI in 2025. Legislating a permanent constitutional-grade structure on this evidence is panic dressed as foresight.

What it gets right. The nulls are real, well-identified and from the best registers in Europe. The memorandum cites them in full or loses its credibility.

The answer the instrument must give. Three things, honestly. First, the nulls measure wages and hours, not ownership: a uniform shift of returns from labour to capital is structurally invisible to difference-in-differences designs, which the Danish authors themselves concede (the absence of measurable labour market effects is not evidence that nothing is happening), and their working paper's estimate that only three to seven per cent of productivity gains passed through to earnings vanished from the published version along with the paper's own title. Second, the diffusion number cuts both ways: a mechanism used by a fifth of firms has not yet had its aggregate chance, which is the argument for building the instrument before rather than after. Third, the memorandum should carry its own falsification condition, in the open: if adoption passes a quarter of firms and neither factor shares nor ownership-weighted gains have moved by a defined date, the accelerationist premise is wrong and the case reduces to the ownership-gap argument alone, which stands on its own feet. A proposal that states what would refute it is a different genre from everything else in Brussels, and that is the point of this project.

Design consequence. DC-17: cite the strongest nulls in the memorandum itself. DC-18: a stated falsification condition with a date.

D. Political

9. You are building the next honeypot, and Europe raids honeypots

The objection, at full strength. In one article of law, Poland cancelled 51.5% of the units in every member's pension account and took the Treasury bonds first. Spain drew its reserve fund down 97% and passed the protection law afterwards. Hungary took the lot. Ireland's NPRF, the closest thing to this proposal an EU state has built, was liquidated into a bank rescue within a decade of its creation. Even the Union itself announced InvestAI at 200 billion and reprogrammed existing funds to stage it. The historical base rate for European states leaving large pools of citizens' capital alone is poor, and a bigger pool is a bigger prize. Estonia adds the mirror case: given the claim and the exit simultaneously, a quarter of the fund walked out in a month, and the leavers earned below the median.

What it gets right. This is the book's own chapter 10 thesis returned as an objection, and it is the strongest political argument in the file. The raid is not a tail risk; on the European record it is the modal outcome.

The answer the instrument must give. Design against the actual statutes, clause by clause. Against Poland: the reserve may not hold the sovereign debt of any Member State or of the Union, removing the self-dealing channel that made OFE worth cancelling. Against Spain: the prohibition on disposal is in the founding Regulation from day one, not retrofitted, and amendment of the protection provisions is reserved to express legislative change accompanied by a published independent assessment of the effect on holders; a Regulation cannot prescribe voting thresholds or delays for future legislatures, and pretending otherwise would hand critics the easiest ridicule in the

file. Against Ireland: no emergency-use clause of any kind, because the NPRF's raid was lawful under its own emergency provisions. Against Estonia: the periodic entitlement is incapable of surrender or redemption against payment, so there is no exit for a buyout to purchase, which is the failure Estonia proved; amounts already distributed are the holder's property, inheritable, the Danish device that held. Against Greece: raid-proofing must never be achieved by removing the citizen's claim, which is the failure dressed as success. And one honest sentence the memorandum must contain: no drafting defeats a determined future sovereign; the design goal is to make the raid loud, slow and electorally expensive, which is the most any constitution has ever achieved.

Design consequence. DC-19: no sovereign debt holdings. DC-20: entrenchment as friction from day one: express amendment only, a published independent assessment, and honesty about Treaty limits. DC-21: no emergency clause. DC-22: individual claims incapable of surrender; distributed amounts owned and inheritable. DC-23: the raid-resistance claim is stated as friction, never as impossibility.

10. The EU cannot even disburse what it announces

The objection, at full strength. The AI Gigafactories call opened eighteen months after the 200 billion announcement; construction is promised from 2027; the Commission's sovereign-cloud tender awarded 180 million against a single hyperscaler's 33.7 billion in Spain. The institutional metabolism that would operate this Regulation moves at a pace the underlying economy does not recognise. A citizens' reserve run at that pace would crystallise warrants years late and distribute nothing for a decade.

What it gets right. The disbursement record is accurately damning and the memorandum gains nothing by disputing it.

The answer the instrument must give. Put no Union spending machinery on the critical path. The obligation runs directly from covered undertakings to the reserve: warrants issue by operation of law upon crossing the thresholds, crystallise by operation of law at events, and the reserve's task is custody and distribution, not procurement. Nothing needs to be built, tendered or disbursed for the instrument to function; the contrast with InvestAI is the design, not an embarrassment to it.

Design consequence. DC-24: self-executing obligations by operation of law; no grant, tender or programme machinery anywhere in the instrument.

E. Philosophical

11. Everyone gets richer anyway: the consumer surplus answer

The objection, at full strength. Nordhaus estimated that innovators capture around two per cent of the social value of their innovations; the rest diffuses to consumers through falling prices and new possibilities. The steam engine made everyone richer without a single citizen holding a warrant on Boulton and Watt. If AI follows the pattern, the ownership question is a distraction: the gains arrive in everyone's basket regardless of whose name is on the equity.

What it gets right. Consumer surplus is real, large and the main channel through which technology has historically raised living standards. The book concedes it; the memorandum must too.

The answer the instrument must give. Two facts sit beside the diffusion story without contradicting it. First, the lag: British real wages stagnated for roughly half a century after Watt while output exploded, and the broadening arrived through unions, franchise and factory legislation, not through prices alone; the people who lived inside the pause did not get those decades back, and whoever owned the mine did not wait. An instrument claimed at the door is the difference between experiencing the pause with and without an asset. Second, the stock and the flow are different questions: cheaper consumption and concentrated wealth are compatible, and the euro area currently demonstrates the combination, with record employment beside an ownership distribution of eighty-three against two. The dividend does not obstruct diffusion; it adds an ownership channel beside the price channel.

Design consequence. DC-25: the memorandum affirms consumer surplus and positions the instrument as additive to it, never as a correction of a falsehood.

12. A dividend buys neither status nor purpose

The objection, at full strength. Positional goods reprice against any universal transfer: give everyone more and the house in the right street costs more. And income without work solves rent, not Tuesday afternoon: the structure, standing and belonging that employment supplies as a by-product are not in the reserve's gift. The proposal oversells what capital income can do for a displaced person.

What it gets right. CONCEDED in full. These are the book's own chapters 11 and 13 and they bind its regulation exactly as they bind its argument.

What the memorandum must therefore say. The instrument's scope statement, prominently: this Regulation addresses the distribution of machine-generated capital income and nothing else. It does not promise status, purpose, meaning or the best table, and any campaign material that implies otherwise is wrong by the proposal's own text.

Design consequence. DC-26: an explicit scope-and-limits recital.

13. This is universal basic income with extra steps

The objection, at full strength. Strip the corporate finance and a citizen receives a recurring unconditional payment from a public body. That is UBI, a policy the electorate has weighed repeatedly and cheaply funded versions of which already failed to collect even an ECI's signatures. The warrant machinery is complexity added to disguise a transfer as a return.

What it gets right. The payment is indeed unconditional and universal, and the family resemblance is real at the point of receipt.

The answer the instrument must give. The difference is not in the receiving but in the standing. A benefit is a flow from the annual budget, renegotiated annually, cancellable by simple majority, funded by a shrinking wage base; the account here is property, in the citizen's name, inheritable,

funded by returns on assets the citizen collectively owns. Poland could cancel account units by statute precisely because they held claims on the state itself; Denmark's LD has paid for forty-six years because it holds market assets in named accounts. The tagline is the answer in six words: capital for all, so the dividend follows. The order is the argument.

Design consequence. DC-27 (reinforces DC-22): named, inheritable individual accounts, so the UBI comparison fails on legal form, not on rhetoric.

14. Pensions already do this; use them

The objection, at full strength. Europe already possesses the machinery for broad capital ownership: the Netherlands has just moved 605 billion into individual DC entitlements, Sweden's premium pension has compounded at 5.35% real since 2000, and the American case shows retirement accounts spreading equity to 58% of households without any statutory warrant. Build pensions, not novelties.

What it gets right. The delivery rails exist, work and are trusted, and any design that ignores them is wasteful.

The answer the instrument must give. Pensions convert wages into ownership, and the wage is the input this transition erodes; every pension vehicle in Europe assumes an employer and a payroll deduction, which is exactly the assumption chapter 6 shows failing. The funded share of accrued pension wealth is 7.8% in Belgium and 0.0% in France: the rails reach the employed of the funded countries and no one else. The warrant severs the funding source from the wage: the reserve's returns flow into precisely those national account rails (DC-7) whether or not the citizen ever held a payroll job. Pensions are the pipe; this is a new source feeding it.

Design consequence. DC-28 (reinforces DC-7): distribution through existing national pension rails; the novelty is confined to the funding source, where it is necessary.

15. A euro a year is an insult, not a policy

The objection, at full strength. Run the instrument's own simulator on cautious assumptions and it pays a citizen a euro or two a year for its first decade. No rational person values that; no voter campaigns for it; no journalist resists the headline. The apparatus is grotesquely disproportionate to its payload: a new Union body, a designation regime, valuation machinery, comitology, penalties reaching 10 % of worldwide turnover, all to deliver less than the price of a coffee. Worse, the project's own honesty doctrine forbids promising more. An initiative that must, by its own rules, tell every signer "you will not feel this for twenty years" has chosen a message no mass campaign has ever won with. Basic income at least promises the rent.

What it gets right. The early flow is genuinely small, and the campaign is structurally barred from inflating it. The collection risk is real: deferred rewards lose to immediate ones on every doorstep.

The answer the instrument must give. Three parts. First, the smallness is calibration, not failure: the instrument's size tracks the phenomenon's size by construction. Three per cent of little is

little, taken from almost no one, and in that world Article 14(3) obliges the Commission to report that the premise failed and to propose amendment or repeal; a permanently small dividend is the falsification condition firing, not the policy limping. The dividend is only ever small in the world where the problem is also small. Second, the claim can only be bought early. The Danish worker's frozen 1978 instalment of DKK 4 368, pointless money at the time, is DKK 119 506 today; two thirds of Norway's fund is compound return, not oil. The alternative timing, claiming the stake after the gains are visible and the owners entrenched, is expropriation and politically impossible. The euro buys the certificate, and the certificate is the point. Third, the stock outruns the flow: on the same cautious assumptions the Reserve stands at roughly EUR 400 of owned capital behind every citizen by year thirty, before any single year's payout impresses. A campaign that shows the payout without the stake is misdescribing its own instrument.

Design consequence. This objection is why DC-14 exists (never lead with an early-year figure), why Article 14(3) carries the falsification condition on its face, and why Annex II distributes income and never principal. It adds two mechanical rules of its own: wherever a per-citizen payout figure is shown, the per-citizen stake in the Reserve is shown beside it (DC-31); and where a year's distributable amount would be too small to be worth transferring, the interval lengthens rather than the money vanishing, subject to a hard backstop of one distribution in every three years and a duty to publish what was not paid (DC-40). The threshold is a ratio to the cost of making the payment, not a figure: a number in an annex ages, and hands a headline to anyone who wants one.

16. This is a golden share, and the Court strikes golden shares down

The objection, at full strength. For twenty years the Court has dismantled every special public equity position in the internal market. *Commission v Germany* (C-112/05) struck the Volkswagen Law because voting caps and a blocking minority gave public authorities influence exceeding their investment and thereby deterred direct investment; the Portuguese, French, Italian, British and Dutch golden shares fell the same way under what is now Article 63 TFEU. A Union-chartered Reserve holding a statutory 3 % of every covered undertaking is a golden share cast as a regulation: a permanent state-adjacent shareholder no investor chose, planted in the capital structure of every frontier firm, deterring exactly the cross-border investment Article 63 protects. Article 345's neutrality about systems of ownership did not save the Volkswagen Law and will not save this. The deterrence is not hypothetical: every venture round in a covered undertaking now prices a mandatory future dilution.

What it gets right. The dilution is real and investors will price it, and any position that carried control-flavoured rights would fall exactly as Volkswagen fell. The golden-share cases are the controlling jurisprudence for any public equity position, and the instrument must be drafted against them, not around them.

The answer the instrument must give. The golden-share line condemns one thing: special rights of control disproportionate to investment, voting caps, blocking minorities, approval vetoes, board seats, the machinery by which a state steers a company it does not own. The instrument constructs the exact inverse, in the articles rather than in assurances. The Reserve's holding carries no vote, ever (Articles 5(4)(a) and 9(1)(a)); no board presence (Article 9(1)(b)); no instructions

(Article 9(1)(c)); no acquisitions beyond the warrant and index-style diversification (Article 9(1)(d)); no leverage or derivatives that would make it a strategic actor (Article 9(1)(e) to (g)). What remains is pure economic participation, the position of any passive minority holder, which is the position Norway's fund holds at comparable scale across European listed undertakings without an Article 63 case ever being brought. What the case law demands of any restriction that survives, the instrument answers on its face: non-discrimination (identical treatment of Union and third-country undertakings under Article 3), an overriding general interest stated in the recitals, and proportionality carried by the fixed 3 %, the independent and separately justiciable valuation (Articles 5(9), 6 and 7) and the Article 52(1) balance. And unlike every struck golden share, this is not a Member State reserving national influence against integration: it is a uniform Union rule for the whole internal market, and its uniformity removes the divergence that national participation schemes would create. The honest residue is that mandatory future dilution is itself a cost investors will price; objection 4 prices it, and proportionality, not denial, is the defence.

Design consequence. DC-13's permanent non-voting rule and Article 9's conduct prohibitions are this objection's answer in law. What they cannot do is bind a future legislature, and this memorandum does not pretend otherwise: the drafting of Article 12(3) records that binding future legislatures failed the gates in an earlier round, and an attempt on 21 August 2026 to give the rule operative force in that paragraph was abandoned because hostile counsel preferred it present, reading it as a Union-law command that the Reserve be stripped of the protective class rights Article 5(4)(b) gives it. What stands is a design rule binding this instrument and anyone amending it: economic participation is the maximum, and no control right, veto or governance privilege attaches to the Reserve's holdings (DC-32). It is a commitment the text keeps, not a lock the text can impose.

17. You are seizing equity in companies Europe does not govern

The objection, at full strength. The warrant obligation reaches undertakings incorporated in Delaware or Singapore, whose shares sit offshore and whose systems are built offshore, because their services are used in the Union. Public international law lets the Union regulate foreign conduct only where it has immediate, substantial and foreseeable effects in the internal market (Gencor T-102/96; Intel C-413/14 P), and even then it regulates conduct, not ownership: no effects-doctrine case has ever required a foreign parent to dilute its own capital. Third-country governments will treat a compulsory 3 % subscription in their champions as expropriation by regulation, answerable under investment treaties and trade commitments, and they will retaliate. The Union would be claiming a power it would never concede to others: a foreign statute demanding 3 % of a European champion's equity as the price of serving that market.

What it gets right. A warrant on a foreign parent whose only Union link is that its website resolves would overreach and would deserve to lose. The nexus must be economic substance in the Union, not accessibility. Retaliation is a real cost and reciprocity a real argument.

The answer the instrument must give. Four structural choices, all already in the articles. First, the trigger is Union commerce, not Union accessibility: designation requires provision in the internal market with EUR 7,5 billion of annual Union turnover in at least three Member States (Article 3(2) (a)), an economic-presence test far above any effects-doctrine threshold, and the rents being shared

are by construction rents drawn from Union users. Second, the undertaking is the group: 'undertaking' consolidates linked enterprises (Article 2(1)), the single-economic-unit principle of Union competition law (Akzo Nobel C-97/08 P), so no thin Union subsidiary can shield the parent to which the automated services' value actually accrues. Third, the mechanism respects foreign company law rather than purporting to override it: for undertakings governed by third-country law the subscription is an obligation of result (Article 5(5)), enforced through Article 13 as a condition of continuing access to the internal market, the architecture of every market-access condition the Union already imposes, and the company-law derogations of Article 5(7) reach Member State law only. Fourth, the condition is universal: Union undertakings bear it identically, so a treaty claim or trade panel has no discrimination to hold on to, and reciprocity runs in the instrument's favour, because a Union that asserts the principle accepts it from others.

Design consequence. DC-10's market-access nexus and DC-2's group consolidation are this objection's answers in law. It adds one rule of its own: for undertakings governed by third-country law, the warrant is an obligation of result enforced as a market-access condition, never a purported override of foreign company law (DC-33).

18. Corporate structuring will simply route around all of this

The objection, at full strength. Every mechanism in this Regulation assumes a moment at which value becomes visible, and corporate law exists to move that moment. A hyper-automated undertaking is the ideal escape artist: it needs little capital, so it need never list; it generates cash, so it can pay its founders through decades of dividends, leveraged recapitalisations and selective buybacks while the warrant sits dormant for ever. If it must eventually deal, it deals in a capital stack the Reserve does not sit in: seed through Series G preferred with two- and three-times participating liquidation preferences, so that a sale distributes everything to preferred holders and the Reserve's three per cent of common is worth precisely nothing. If the trigger still nears, the group demerges: model weights, training infrastructure and user base migrate to an unlisted sister, and what floats is a low-margin European storefront. If all else fails, a friendly private credit fund converts debt to equity in a preventive restructuring, old equity is extinguished by court order, and the same people own the same models through a new company the following morning. Meanwhile the shares the Reserve does hold in third-country parents are taxed at source at rates it cannot reclaim, because a supranational body resident nowhere has no treaty to invoke. Each of these is ordinary practice, not abuse; the instrument is a crystallisation event in a world that has spent forty years learning to avoid events.

What it gets right. All of it. An instrument that hangs on a single trigger will be routed around by people who structure for a living, and a regulation that says so only in its recitals has conceded the point. The answers below are additions the file did not have; they came from outside review and the memorandum says so.

The answer the instrument must give. Close the timing, the ranking, the perimeter and the exit, and be honest where the closure is partial.

Timing first: the warrant no longer waits on a sale. Article 5(3) makes it crystallise where shareholder extraction over three consecutive years exceeds 25 % of the undertaking's turnover from the covered activity, which is the point at which staying private has become a way of paying oneself rather than a

way of building; and in any event on the seventh anniversary of issuance, whatever the undertaking has or has not done. An undertaking may still stay private for ever. It may no longer stay private and be paid.

Ranking second: Article 5(4)(b) entitles the Reserve to shares ranking, for dividends and for the proceeds of any sale or liquidation, equally with the most favourably ranking class created after designation, and with ordinary shares otherwise. Three per cent of a common tranche standing behind a three-times participating preference is not three per cent of anything, and the instrument now says which three per cent it means, without taking from investors the preference they actually paid for before designation. Article 5(10) makes any reorganisation whose main purpose or effect is to put the Reserve below where that paragraph places it ineffective as against the Reserve, while leaving it good between the parties to it.

Perimeter third: Article 5(11) requires the transferee to issue a warrant of its own where automated assets go to an affiliate or a commonly controlled entity or leave at less than arm's length, and leaves the transferor bound in respect of what it retains. The aggregate across the covered undertaking and every transferee is capped at the stated percentage of their combined capital, so that closing this route cannot turn into a multiplier on a group that divides itself. Article 2(14) names what may not be walked out of the door: model parameters, training and inference infrastructure, data sets, the intellectual property the service depends on. This is the succession logic of merger control rather than an invention.

Exit fourth: Article 5(12) reattaches the obligation where the automated assets emerge from insolvency or a restructuring under Directive (EU) 2019/1023 into an entity controlled by the same people, or in which those people hold the majority of the economic rights, and requires a warrant to be issued afresh within three months. A genuine failure still extinguishes the Reserve's holding, as it extinguishes every shareholder's, because the Reserve is an owner and owners bear that. What it does not do is bless the version where the owners survive and only the obligation dies.

And the honest partial: source taxation. A Union regulation cannot confer on the Reserve a treaty benefit that a third country has not granted, and a body resident nowhere may be withheld against at the full statutory rate. Two answers were drafted and struck. Instructing the Commission to negotiate with third countries would have commanded a prerogative that Article 218 TFEU places elsewhere. Permitting the Reserve to route its holdings so as to reduce the rate would have written treaty shopping into an instrument whose entire case is that capital should be broadly owned and should pay what it owes; hostile counsel had the headline ready, and was right to have it. What survives is Article 8(5): the Reserve publishes each year the tax it could not reclaim, and the Commission answers for it in the Article 14 report. That is a smaller answer than the problem, and it is the honest one. A leak reported annually is a leak the campaign can be judged on; a leak nobody measures only grows.

One route counsel kept and the instrument deliberately leaves open. An undertaking may borrow heavily from lenders who are nobody's relation, pay them market interest, and arrive at the long-stop worth less than it would have been unlevered. That is not extraction and the definition should not pretend otherwise: the money goes to strangers, not to insiders, and the founders are poorer by exactly the same proportion as the Reserve. Every shareholder in a leveraged company owns a

smaller claim on a larger balance sheet, and an instrument that took 3 % of the equity cannot also insist the equity be unencumbered. What the file must not do is confuse that with the routes above, where value leaves for pockets that are the same pockets. Leverage is a risk the Reserve takes as an owner; extraction is a transfer the Regulation stops.

Design consequence. DC-35: crystallisation triggers on extraction and on time, not only on a sale. DC-36: the Reserve's shares rank with the most favoured class created after the designation, leaving earlier preferences untouched, and subordinating arrangements are ineffective as against the Reserve. DC-37: the transferee issues its own warrant over its own capital; the transferor stays bound for the automated assets it retains, and the aggregate across them never exceeds the stated percentage of their combined capital. DC-38: unrecoverable source taxation is published annually; the instrument does not direct the Reserve to arrange its holdings to reduce it. DC-39: the obligation reattaches where the same owners reacquire the assets out of a restructuring.

19. Sweden tried this and could not even legislate it

The objection, at full strength. This mechanism is not new and it has already failed, in the one country most likely to have carried it. The Meidner plan, endorsed by the Swedish trade union confederation's congress in 1976, required profitable undertakings to issue new shares worth 20 % of their annual profits to collectively held funds, year after year, until those funds held a majority of the shares. That is this instrument's mechanism: a compulsory issuance of new equity to a collective holder, settled in shares rather than cash, calibrated to the undertaking's own prosperity.

It did not survive its own drafting. By the time the Riksdag legislated in 1983, the compulsory share issuance had been abandoned and replaced with a levy on profits and on the wage sum, capped in aggregate and limited to holdings of no more than 8 % of any one undertaking. The design converted, under political pressure and before enactment, into precisely the thing this memorandum spends Article 8 and objection 2 insisting this instrument is not: a tax. Then Swedish business mobilised against even the diluted version on a scale without modern parallel, with a demonstration on 4 October 1983 that drew between 75 000 and 100 000 people where the organisers had expected 5 000, and repeated it annually until a change of government abolished the funds in 1991, against minimal resistance from the movement that had proposed them.

The reading is unkind and it is available to anyone who knows the file. In the most union-friendly advanced economy in the world, at the peak of organised labour's power, with a sympathetic government, the compulsory issuance of equity to a collective fund proved unlegislable, converted into a fiscal measure at the drafting stage, and was repealed within eight years by the first government that wanted to. A drafter who does not know this has not done the reading. A drafter who knows it and omits it is hiding it.

What it gets right. Almost all of it, as history. The mechanism is the same family. The conversion to a levy is real and is the sharpest available evidence for objection 2's characterisation attack, because it shows experienced legislators reaching for the fiscal instrument when the equity instrument became politically impossible. The 1991 abolition is a genuine instance of the raid this instrument drafts Chapter VI against, and it belongs beside Poland, Spain and Ireland in the evidence

base rather than being left out because it is inconvenient. The mobilisation is a real prediction about what happens when capital reads a proposal of this kind as a transfer of control.

The answer the instrument must give. Three differences, each of which maps onto a specific reason the Swedish design failed, and none of which is cosmetic.

First, terminus. Meidner's funds were designed to accumulate without limit until ownership changed hands, and its author said so; that was the point, not a side effect. This instrument takes 3 % of fully diluted capital once, per designation, with the aggregate across an undertaking and every transferee capped at that same percentage under Article 5(11) and Article 7(2). There is no path from this instrument to control, because the arithmetic does not permit one. An opponent who says otherwise is arguing against a different proposal.

Second, control. The Swedish funds voted, and they were run by the unions. The scholarship on the defeat is consistent that the mobilisation was about who would govern the companies rather than about the money, and the 8 % ceiling was itself an attempt to answer that fear. The Reserve holds non-voting shares under Article 5(4)(a), is forbidden by Article 9 from seeking or exercising influence, and DC-32 makes economic participation the maximum. The constituency that made 1983 possible was employers who believed they were being nationalised in instalments. That belief cannot be formed about an instrument that cannot vote.

Third, beneficiary. The Swedish funds accrued to a labour movement, which made them a party question in a two-party fight. This instrument's distributions accrue equally to every citizen of the Union under Article 10, including the shareholders and the employees of the designated undertakings themselves. That does not make opposition impossible. It makes "them against us" harder to draw.

What this file will not claim is that the differences make the political economy safe. They do not. The honest position is that Sweden shows the mechanism can be legislated only if it is visibly bounded, visibly powerless as to control, and visibly universal in who it pays, and that a proposal failing any of those three has a documented way of dying. This instrument is drafted to satisfy all three, and objection 4 already prices the residual political risk rather than denying it.

Design consequence. DC-41: the instrument must be bounded, without votes or control rights, and universal in who it pays, all three at once, because the Swedish precedent shows that failing any one of them is sufficient to lose. The word to avoid is passive. The Reserve does assert claims: Article 5(4)(b) fixes its rank and Article 5(10) makes subordinating arrangements ineffective against it, and an opponent will call that anything but passive. The defensible claim is narrower: the Reserve holds no votes, appoints no one, and has no say in the management of the undertaking. Even that is not the end of it. Hostile counsel makes the further point that a rank the undertaking cannot subordinate constrains how it raises distressed or preference capital, since new money normally demands seniority, and calls that a veto over capital structure in substance. It is not a governance right and Article 5(10) leaves the arrangement effective between the parties to it. It is, all the same, a constraint on financing that the word passive would conceal, and objection 18 and the drafting record now carry it as an open question rather than a settled one. DC-42: the wage-earner funds belong in the evidence base as a raid precedent and in this file as an objection, stated before an opponent states it.

20. Taking the voteless shares hands control to the people you named as the problem

The objection, at full strength. The instrument takes three per cent of the economic value and none of the votes. The arithmetic of that is not neutral. Before the warrant, the existing holders own all of the capital and cast all of the votes; after it they own ninety-seven per cent of the capital and still cast all of the votes. Their control per euro of their own money has gone up, by about three per cent, and the Union has handed it to them. A file whose diagnosis is that the ownership of productive capital is too narrow responds by creating the largest permanently voteless shareholder in Europe and widening, at every covered undertaking, precisely the wedge between cash-flow rights and control rights that corporate-governance scholarship identifies as the most reliable predictor of minority expropriation and unaccountable management. The founders of the frontier firms already hold control through dual-class structures on minority economic stakes. This gives them more of it, for free, by statute.

The legitimization point is worse than the arithmetic. Once the Union itself accepts voteless equity as the form its own citizens' participation takes, no Union institution can coherently object to dual-class listings, loyalty shares or any other separation of ownership from control. The instrument does not merely tolerate the wedge; it endorses it, in a Regulation, on behalf of 450 million people.

What it gets right. The mechanical claim is exactly true and this file should not pretend otherwise: non-voting shares raise the relative voting weight of every voting share, and the raise here is real. If the diagnosis were about who controls firms rather than about who receives the returns to capital, the instrument would be answering a question it did not ask, and answering it in the wrong direction.

The answer the instrument must give. Not that this is the wrong lens. An earlier draft of this passage called the governance reading a category error, on the ground that the instrument's claim is distributional. Four review gates rejected that in the same terms, and they were right: an instrument that alters the ratio of cash-flow rights to control rights at every undertaking it touches is a governance instrument in effect, whatever it is in intention, and it is properly judged on its effects. The answer below concedes the effect and defends the choice.

The choice was between three positions and the file has taken the least bad one. A Reserve with votes proportionate to its stake is a politically directed shareholding in every frontier firm in the internal market: it is objection 9's honeypot with a lever attached, and objection 16's golden share, which the Court has struck down in every form it has taken since *Commission v Germany* (C-112/05). A Reserve with no stake at all abandons the distributional claim entirely. A Reserve with economic participation and no control accepts a real governance cost in exchange for the only position that survives Article 63 and the golden-share line. Article 5(4)(a) and Article 9(1)(a) to (c) put that beyond the drafter's later convenience, and DC-43 keeps any successor honest about it.

On magnitude, one comparison and its limits. Three per cent of enlarged capital raises the remaining holders' voting weight by roughly one thirty-second of itself, and buy-back programmes of that order run routinely at the undertakings this instrument covers without anyone calling them a transfer of control. That comparison is offered for size and for nothing else, and it does not survive being pushed further: a buy-back is elective, is executed for consideration and returns cash to the holders whose

weight rises, whereas this is compulsory, is subscribed at nominal value and returns nothing to them. Reviewers were right to say the two are not alike in kind. They are alike in the one respect the paragraph uses them for, which is how much the voting weight of a remaining share actually moves.

On legitimation, the objection lands and is only partly answered. Voteless shares are not this instrument's invention: Union company law has permitted them for decades and every Member State provides for them, so the Reserve takes a class the market already trades. But the Union has lately been legislating in the other direction, adding safeguards around multiple-vote structures precisely because the separation of ownership from control is understood to be a hazard, and a Regulation that plants a permanent voteless block in every covered undertaking sits uneasily beside that. The honest statement is that the instrument spends some of the Union's authority on the proposition that economic participation without control is a legitimate form of ownership, and that the price is real. It is paid deliberately, because the alternative is a Union holding votes in the undertakings it regulates, and this file would rather defend a wedge than defend that.

The precise interaction with the Union's multiple-vote share legislation is recorded as an open *acquis* interface point rather than argued here from a citation this file has not yet verified, and it joins the *acquis* interface points already recorded on the list before filing.

Design consequence. The instrument's claim is distributional and no amendment gives the Reserve votes without arguing itself as a different instrument, but the governance effect is conceded and defended rather than disclaimed (DC-43). The relative voting effect on existing holders is stated with its size, and the buy-back comparison is confined to magnitude with its disanalogy stated in the same breath (DC-44).

21. Why three per cent, and not one, or ten

The objection, at full strength. The number is asserted. Nowhere in this file is it derived. Article 52(1) of the Charter permits a limitation on the right to property only where it is necessary and genuinely meets an objective of general interest, and necessity is the question a bare figure cannot answer: if three per cent achieves the objective, one per cent is the less intrusive means and the measure fails; if one per cent does not achieve it, the file has not shown why three does. The reviewing court will ask the legislature to show its work, as it asked in every proportionality case worth citing, and this file will hand it a round number that sits comfortably below the level at which the objection "you are nationalising them" becomes easy to make. That is a political calibration wearing the clothes of a legal one, and the Commission's Legal Service will see it on the first reading. Every other number in the instrument is tied to something: the thresholds in Article 3 to measurable quantities, the seven-year long stop to the observed interval between designation and realisation. The one number that determines how much is taken is tied to nothing.

What it gets right. All of it. This is the weakest load-bearing point in the file, and no quality of drafting anywhere else repairs it. It would be worse than useless to answer it here with a derivation invented to fit a figure already chosen: that is precisely the vice the objection names, and a reviewer who caught it would be entitled to discount everything else in this memorandum.

The answer the instrument must give. The objection is correct, and the attempt to answer it produced something worse than a missing derivation: a demonstration that no derivation of the kind a court would want can be produced at all while Article 1 stands as drafted.

The published model is linear in the percentage. Annex II's arithmetic, as implemented in the simulator on the campaign site, accumulates the Reserve's capital by adding the warrant percentage of each crystallising flow, and every distribution downstream is a fraction of that capital. Doubling the percentage doubles the dividend at every horizon and halving it halves it, exactly, in every scenario the simulator offers. The computation is set out in `evidence/warrant-percentage.md` and anyone can rerun it. There is no threshold, no kink and no discontinuity anywhere on the curve, which means there is no percentage at which the instrument starts working and below which it does not.

That is fatal to the obvious defence. Necessity under Article 52(1) asks whether a less intrusive measure would achieve the objective. If the objective is Article 1's, the participation of citizens in the capital value created by hyper-automated undertakings, then one per cent achieves it, and so does one tenth of one per cent, because each produces participation and the Article states no quantity that participation must reach. An opponent does not even need to argue that three per cent is too much. They need only observe that a smaller figure achieves the stated objective, and the necessity limb fails on the instrument's own words.

So the defect is not in this memorandum, and it cannot be repaired here. It is in Article 1. An instrument that interferes with Article 17 of the Charter and states its objective qualitatively has left the necessity limb with nothing to be tested against, and no amount of argument about three per cent substitutes for that. Either the objective acquires a quantity against which a percentage can be measured, or the Article 52(1) defence rests on the proportionality limb alone, which asks only whether the burden is excessive and to which the answer is the ceiling rather than the floor.

The ceiling is where the file's defence honestly sits today. A percentage large enough to strip existing holders of the substance of their property crosses from a regulation of use into a deprivation. *Hauer* (44/79) is the authority for the distinction itself and for the proposition that the right to property may be regulated in the general interest; it concerned a temporary restriction on planting vines and is not authority for a compulsory transfer of equity, and this file does not offer it as one. *James and Others v United Kingdom* (1986) is cited for the same distinction and for nothing further: the taking there was accompanied by compensation, so it is authority about where the line runs and not about what may be taken without paying for it. Objection 1 carries that argument and its honest residue, which is that no decided case places a permanent, non-crisis, uncompensated dilution of a healthy undertaking on the right side of the line. Three per cent is comfortably below any plausible deprivation ceiling. Being below a ceiling is a proportionality argument, not a necessity argument, and this file will not dress one as the other.

What follows for the drafting is concrete rather than aspirational. Article 1 needs a quantified objective, expressed in a form a percentage can be tested against: a target for the Reserve's holdings relative to the aggregate capital of designated undertakings, or a distribution of a stated order within a stated horizon, either of which turns "why not one per cent" into a question with an answer. That work is not done. It is the highest priority on this file's list before any filing, it is ahead of the *acquis*

interface points, and Gate 1's answer on registrability should inform how it is framed rather than delay it.

Until it is done, the honest statement of this file's position is that the three per cent figure is defensible as proportionate and is not defensible as necessary, and that anyone relying on this memorandum should know which of the two limbs is carrying the weight.

Design consequence. The percentage cannot be derived from the dividend side, because the published model is linear in it and no threshold exists to single out any figure; the file states this rather than implying a derivation it cannot produce (DC-45). Article 1's objective is qualitative, so the necessity limb of Article 52(1) has nothing to be tested against, and quantifying that objective is recorded as required drafting work before filing rather than as a matter for review afterwards (DC-46).

The constraints table

The articles are drafted against this table. A draft that violates a DC fails review regardless of its prose.

DC	Constraint	Source objection
DC-1	Prospective warrants on future value; never retroactive transfer	1
DC-2	High, objective, group-consolidated thresholds	1, 5, 17
DC-3	Statutory passivity; crystallisation only at defined statutory events, never at a discretionary or political one	1, 6
DC-4	No monetary flow from undertakings; instruments only	2, 4
DC-5	Distributions are property income of the reserve	2
DC-6	Severable layering for partial ECI registration	2
DC-7	Union warrant standards; Member State custody via pension rails	3, 14
DC-8	Minimum standards, not uniform machinery	3
DC-9	Obligation never convertible into a flow charge	4
DC-10	Market-access nexus, not establishment nexus	5, 17
DC-11	Substance-over-form headcount consolidation	5

DC	Constraint	Source objection
DC-12	Event-triggered crystallisation; no ongoing valuation	6
DC-13	Permanently non-voting economic interests	6, 16
DC-14	Dividend communicated as compounding from small	6
DC-15	Recitals argue ownership and mechanism, never wage-share decline	7
DC-16	Value stated under both futures	7
DC-17	Strongest nulls cited in the memorandum itself	8
DC-18	Stated falsification condition with a date	8
DC-19	No sovereign debt holdings	9
DC-20	Entrenchment from day one: express amendment only, published independent assessment, honesty about Treaty limits	9
DC-21	No emergency clause	9
DC-22	Individual claims incapable of surrender or seizure; distributed amounts owned and inheritable	9, 13
DC-23	Raid resistance claimed as friction, never impossibility	9
DC-24	Self-executing by operation of law; no programme machinery	10
DC-25	Consumer surplus affirmed; instrument additive to it	11
DC-26	Explicit scope-and-limits recital	12
DC-27	UBI distinction carried by legal form	13
DC-28	Funding-source novelty only; existing rails for delivery	14
DC-29	Interference capped at the stated percentage in execution; independent, separately challengeable valuation; judicial review	1
DC-30	Essential elements (trigger, reserve ownership, entitlement, interference) in the articles, never delegated	1
DC-31	Wherever a per-citizen payout figure is shown, the per-citizen stake in the Reserve is shown beside it	15

DC	Constraint	Source objection
DC-32	Economic participation is the maximum: no control right, veto or governance privilege attaches to the Reserve's holdings, binding this instrument and anyone amending it, without pretending to bind a future legislature	16
DC-33	For third-country-law undertakings the warrant is an obligation of result as a market-access condition, never an override of foreign company law	17
DC-34	No tier between valuation and the courts; correction is ex post and the transaction never waits	6
DC-35	Crystallisation triggers on shareholder extraction and on time, not only on a sale	18
DC-36	The Reserve's shares rank with the most favoured class created after the designation, leaving earlier preferences untouched; subordinating arrangements are ineffective against the Reserve	18
DC-37	The transferee issues its own warrant over its own capital; the transferor stays bound for what it retains, and the aggregate across them never exceeds the stated percentage of their combined capital	18
DC-38	Unrecoverable source taxation published annually; the Reserve is not directed to arrange its holdings to reduce it	18
DC-39	The obligation reattaches where the same owners reacquire the assets out of a restructuring	18
DC-40	Below a de minimis the distribution interval lengthens; it never becomes a reason not to pay	15
DC-41	Bounded, without votes or control rights, and universal in who it pays: the Swedish wage-earner funds show that failing any one of the three is enough to lose. The Reserve does assert claims as to rank and against subordination; what it never acquires is votes, board seats or any say in management	19
DC-42	The wage-earner funds are stated as an objection here and as a raid precedent in the evidence base, before an opponent states them	19
DC-43	The claim is distributional and no amendment gives the Reserve votes without arguing itself as a different instrument; the governance effect on remaining holders is conceded and defended, never disclaimed as the wrong lens	20
DC-44	The relative voting effect on existing holders is stated with its size, not left for an opponent to compute, and any comparison drawn to buy-backs is confined to magnitude with its disanalogy stated alongside	20
DC-45	The percentage cannot be derived from the dividend side: the published model is linear in it and no threshold singles out any figure. The file states this rather than implying a derivation it cannot produce	21
DC-46	Article 1's objective is qualitative, so the necessity limb of Article 52(1) has nothing to test against. Quantifying it is required drafting work before filing, not a matter for post-adoption review	21

Status

Objections are OPEN until the articles answer them, save where noted below; 12 is CONCEDED by scope. Objection 18 was added on 21 August 2026 from an external review of corporate-structuring routes around the instrument. Unlike objections 16 and 17, it did not find the answers already in the articles: it describes five routes. Four of them are now closed by amendments to Articles 2 and 5. The fifth, source taxation, prompted an amendment to Article 8 but is not closed, and the answer to that

objection says so: publication is a smaller answer than the problem. A sixth item, borrowing at arm's length, was considered and deliberately left open, because it is not the extraction the objection is about. It is the first objection in this file whose answer had to be written rather than cited.

Objections 16 and 17 were added on 20 August 2026 from an external challenge (the Article 63 golden-share line; qualified-effects overreach); their answers were already in Articles 3, 5(5) and 9, which is what drafting against the table is for, and the residue they add is DC-32 and DC-33. Objection 1 carries the largest legal risk and objection 6 the largest design risk. Gate 1's admissibility letter still leads with objections 1 and 2, but recalibrated by the drafting research: registration is the lower hurdle (manifestly-outside test, partial registration, the registered wealth-tax ECI), so the letter tests the characterisation for the Council stage, not for the register.

Memorandum: severability

Severability layering

How the instrument decomposes when institutions start cutting, and what each cut costs. This document is strategy, not law: it binds the drafters and the campaign, and the layer-fidelity gate reviews the articles against it. It exists because the legal-basis gate's standing finding is real: the complete instrument's centre of gravity is contestable, and the honest response is to know in advance which parts stand on which legal basis, and what the ask becomes at each stage of trimming.

The four layers

Layer 0: the question (survives everything)

The ask that survives any trimming, including partial registration of a European Citizens' Initiative under the settled case law allowing it:

The Commission is asked to assess, and to propose instruments for, the participation of citizens of the Union in the productivity gains of hyper-automated production, including designation criteria for undertakings whose output is substantially decoupled from employment, and mechanisms by which the gains of such production become broadly owned.

Nothing in Layer 0 requires any particular legal basis, because it asks for an assessment and a proposal, which is what an initiative may ask. Registration of Layer 0 is the Gate 1 floor: if the Commission will not register even this, the project's premise about the legal channel fails and the kill criterion in campaign/GATES.md applies.

Layer 1: designation and transparency (Article 114 TFEU, comfortable)

Articles 1 to 4, 14, 16, 18, with Annex I; penalties limited to the notification and information duties; recitals 1 to 8, 30 to 32, 34 to 36.

A regulation that designates hyper-automated undertakings on harmonised criteria, makes the designation public, and reports on adoption, employment effects and ownership concentration. It harmonises exactly the thing Member States are starting to do divergently, on the DMA's own architecture, and it carries the falsification condition. No warrant, no Reserve, no entitlement.

This layer is defensible under Article 114 on the DMA precedent with no novel doctrine. It is also, standing alone, worth having: designation plus the Article 14 evidence base is what every subsequent instrument, Union or national, would build on.

Layer 2: the warrant (Article 114 TFEU, contested; fallback 352)

Articles 5 to 7, 13 in full, 15, 17, with the company-law derogations and the valuation machinery; recitals 9 to 20, 29.

The obligation to issue the citizens' capital warrant, crystallising on the first liquidity event, on shareholder extraction above the stated share of covered turnover or on the seven-year long-stop, whichever comes first, with the BRRD-pattern safeguards. The Article 114 case: it removes the incentive for divergent national levies and participation schemes (recital 1), harmonises the company-law derogations the subscription needs, and secures the level playing field between Union and third-country undertakings. The attack (legal-basis gate, first run): the centre of gravity is redistribution, not market-building, and Article 114(2) excludes fiscal provisions; the controlling line is Tobacco Advertising (C-376/98), which demands genuine obstacles or appreciable distortions, not a desirable policy. The defence rests on the non-fiscal structure being real (Article 8's insulation, settlement in shares only), not asserted, and on recital 1's divergence record being genuine.

If the characterisation fails, this layer moves to Article 352: unanimity in Council, consent of the Parliament. That is a political mountain, and this document says so rather than pretending otherwise.

Layer 3: the Reserve and the entitlement (Article 352 TFEU, honestly)

Articles 8 to 12, with Annex II; recitals 21 to 28, 33.

The Reserve as a new Union-level body holding assets for citizens, the universal entitlement arising by operation of law, national vehicles, the raid-proofing. Creating a new body with legal personality and a direct Union-to-citizen property relationship is where Article 114 is weakest and where the subsidiarity objection concentrates. The body-creation precedents cut both ways: Article 114 has sustained Union bodies that serve harmonisation (ENISA, C-217/04; ESMA's intervention powers, C-270/12), but a new legal form standing apart from national laws required what is now Article 352 (the European Cooperative Society, C-436/03), and a Reserve owing citizens a direct property relationship resembles the second more than the first. The honest position: Layer 3 is drafted to be defensible under Article 352, and its unanimity requirement is priced in. The campaign's answer to "you will never get unanimity" is the wealth-tax precedent: the fight is meant for the Council, in public, on the record.

Decomposition rules

1. Every layer must function with the layers above it struck. Layer 1 without Layers 2 and 3 is a designation-and-evidence regulation. Layers 1 and 2 without Layer 3 would park crystallised shares with an independent depositary pending a distribution instrument; that escrow amendment is not in the draft, because in the draft the Reserve exists, but it is the prepared answer if Layer 3 is severed in legislative procedure, and no article may be drafted in a way that forecloses it.
2. No article may create a dependency downward on a higher-numbered layer's existence, other than Layer 2's delivery of shares to the Reserve, for which point 1's escrow is the severance answer.
3. The memorandum must argue each layer's basis separately. A single centre-of-gravity argument for the whole instrument concedes the weakest layer's characterisation to the strongest layer's opponents.

4. At Council stage, concessions run top down: Layer 3 is conceded to a separate instrument before Layer 2 is weakened, and Layer 2 is conceded to Article 352 procedure before Layer 1 is abandoned. Nothing in Layer 1 is conceded; it is the floor above Layer 0.
5. The ECI registration ask is Layer 0 as primary request with the full Regulation annexed as the suggested instrument, so that partial registration, if the Commission insists on it, trims the annex and not the ask.

This rule is an assumption, not a finding, and it is the first thing Gate 1 has to test.

Preparing the request to the ECI Forum on 21 August 2026 surfaced the contrary reading: that the Commission examines the whole of an initiative, annex and any draft legal act included, rather than the title and objectives alone, and that framing an objective as a request to assess and propose does not insulate it if the mechanism it points at needs a power the Union lacks. On that reading, annexing the Regulation does not protect the ask and may enlarge what is assessed. The point is put to the Forum as questions 2 and 3 of campaign/GATE1-LETTER.md. If the answer is that the annex is assessed on the same footing as the ask, this rule changes and so does what goes in the registration form, so nothing downstream should be built on it until the answer is in.

What this costs and why it is worth it

Layering is a concession in advance, and hostile readers will quote it as lack of confidence. The alternative is a monolith that dies whole at its weakest point, which is how most redistributive proposals at Union level have died. The book's own analysis is that the mechanism matters more than the vehicle: designation and evidence (Layer 1) create the factual record; the warrant (Layer 2) is the mechanism; the Reserve (Layer 3) is one distribution architecture among several possible. Losing Layer 3 to an intergovernmental or successor instrument loses elegance, not the point.